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Unit – 1 Entrepreneurship

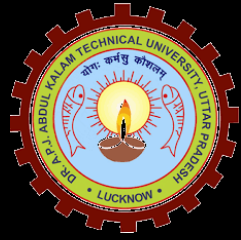
I	Entrepreneurship- definition. growth of small scale industries in developing countries and their positions vis-a-vis large industries; role of small scale industries in the national economy; characteristics and types of small scale industries; demand based and resources based ancillaries and sub-control types. Government policy for small scale industry; stages in starting a small scale industry.
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❖ What is Entrepreneurship ?

Entrepreneurship is the process of starting, managing, and growing a new business to earn profit by taking risks and using innovative ideas.

☞ **In simple words:**

Entrepreneurship = starting something new + taking risks + using ideas to make profit.

❖ Who is Entrepreneur ?

An **Entrepreneur** is a person who starts a business, takes risks, manages it, and uses new ideas to make it successful.

☞ **Simple words:**

Entrepreneur = business starter + risk taker + innovator.

Examples:

Ratan Tata

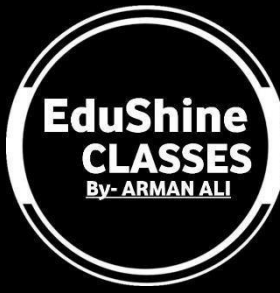
Dhirubhai Ambani

Narayana Murthy

Elon Musk



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◆ Characteristics of an Entrepreneur :(V.V.VIMP)

1. Risk-taking ability

Willing to take business risks to gain profit.

2. Innovative

Creates new ideas, products, or methods.

3. Leadership quality

Can guide, motivate, and manage people.

4. Confidence

Believes in his abilities and decisions.

5. Decision-making ability

Makes quick and correct decisions for business.

6. Hardworking

Puts extra effort and works with dedication.

7. Future vision

Thinks ahead and plans for long-term success.

8. Flexible and adaptable

Adjusts to changes in market or situation.

9. Good communication

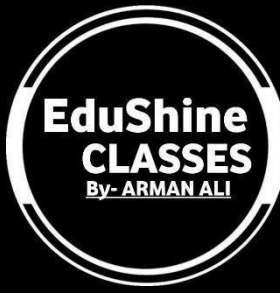
Speaks clearly with employees, customers, investors.

10. Problem-solving ability

Finds solutions quickly when problems arise.



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◆ Entrepreneurship Development

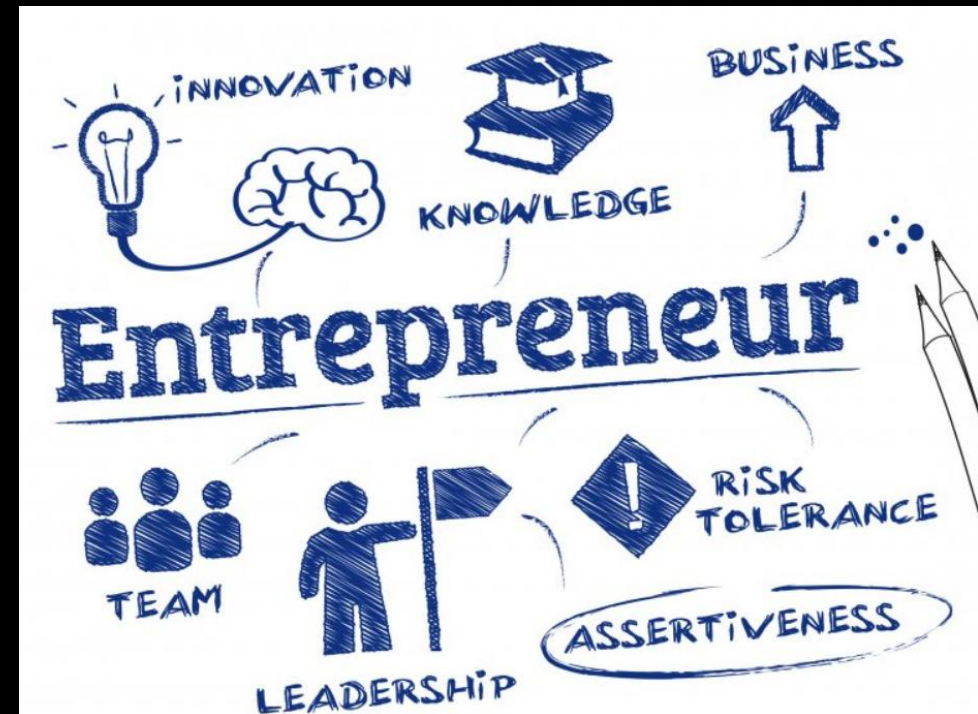
Entrepreneurship Development is the process of improving the skills, knowledge, and abilities of people so that they can become successful entrepreneurs.

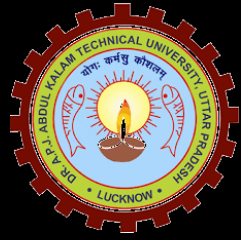
☞ In simple words:

Entrepreneurship Development = training + support + guidance to make a person a good entrepreneur.

◆ Purpose of Entrepreneurship Development

- ✓ To create more entrepreneurs
- ✓ To help people start their own business
- ✓ To develop entrepreneurial skills
- ✓ To reduce unemployment
- ✓ To promote innovation and economic growth



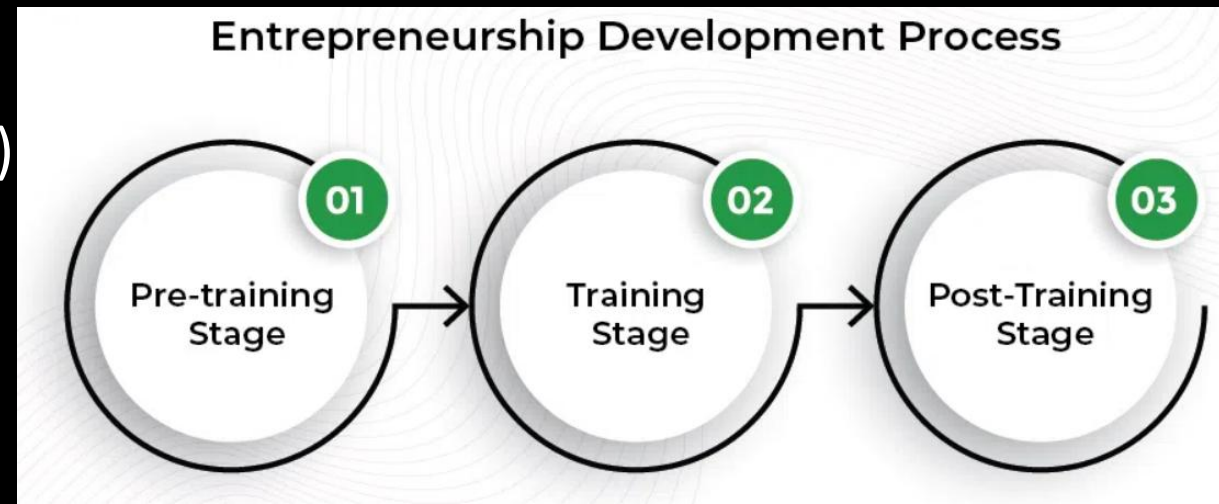


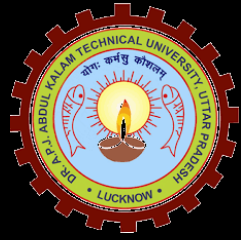
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◆ Process of Entrepreneurship Development : (V.V.IMP)

1. **Identify potential entrepreneurs**
(select people who are interested)
2. **Provide motivation and training**
(skills, confidence, knowledge)
3. **Guide them to prepare business plan**
4. **Provide financial assistance**
(loans, subsidies, grants)
5. **Start the business**
6. **Provide follow-up support**
(help in marketing, technology, management)





◆ **Entrepreneurs Are Made, Not Born – Comment**

The statement means that **entrepreneurship is not something a person is born with**. Instead, it is a **skill that can be learned, developed, and improved** through training, experience, and environment.

☞ **In simple words:**

Anyone can become an entrepreneur with the right knowledge, skills, and motivation.

Explanation :

1. Entrepreneurship is a skill

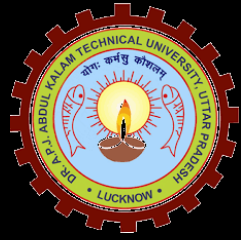
Like any other skill (coding, driving, cooking), entrepreneurship can be learned through:

- training
- education
- practice

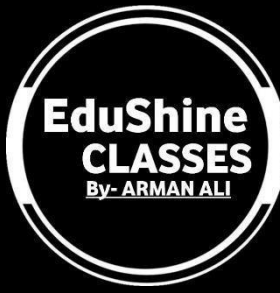
2. Successful entrepreneurs learn from experience

Most entrepreneurs improve by:

- making mistakes



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- learning from failures
- improving their decisions

3. Training programs develop entrepreneurs

- Government and private institutes offer:
 - Entrepreneurship Development Programs (EDPs)
 - Skill Development Programmes
- These help ordinary people become entrepreneurs.

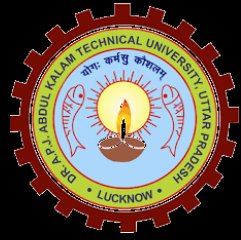
4. Environment shapes an entrepreneur

Family background, market opportunities, education, and society motivate people to start a business.

5. Examples prove it

Many famous entrepreneurs (like Dhirubhai Ambani, Narayana Murthy, Bill Gates) did not have special natural abilities.

They became great because of **hard work, learning, and determination.**



◆ Entrepreneurship Can Be Considered the Creator of Economy – Comment

Entrepreneurship plays a **key role in building and developing the economy** of a country. Entrepreneurs create businesses, jobs, products, and innovations, which together help in the **growth of the economy**.

☞ **In simple words:**

Entrepreneurs create economic activity → economic growth → strong economy.

◆ Why Entrepreneurship is the Creator of Economy?

1. Creates Employment

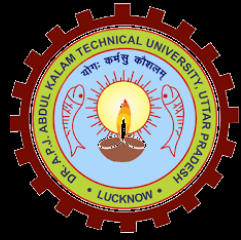
Entrepreneurs start new businesses which need workers.

More jobs → more income → strong economy.

2. Promotes Innovation

Entrepreneurs create:

- new products
- new services
- new technologies



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3. Improves National Income

More industries → more production → more exports → higher GDP.
This strengthens the country's economy.

4. Encourages Industrial Development

Entrepreneurs start small, medium, and large industries.

This leads to:

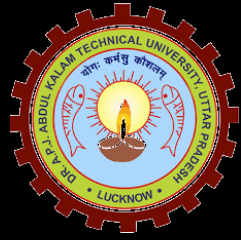
- development of rural areas
- industrial diversification
- balanced regional growth

5. Optimal Use of Resources

Entrepreneurs use available:

- raw materials
- capital
- technology
- human resources





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6. Creates Wealth

Businesses earn profit.

Part of this profit is:

- reinvested
- spent on goods
- paid as taxes

This increases national wealth.

7. Reduces Dependence on Government

When people start their own businesses, the economy grows without depending completely on government jobs.

8. Supports Other Industries

Entrepreneurs create demand for:

- raw materials
- machines
- transport



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◆ Small Scale Industries (SSI) (V.VIMP)

Small Scale Industries are **small business units** where:

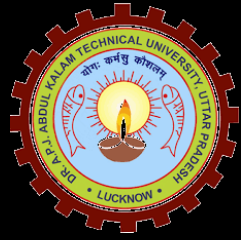
- ✓ Investment is **small**
- ✓ Number of employees is **limited**
- ✓ Production is done on a **small level**

☞ In simple words:

SSI = small factories/businesses producing goods or services with limited machinery and workers.

Examples:

- Handloom units
- Bakery
- Furniture making
- Pickle making
- Small machine parts manufacturing



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◆ Characteristics of SSI

- ✓ Low investment
- ✓ Simple technology
- ✓ Uses local raw materials
- ✓ Provides local employment
- ✓ Flexible and easy to start
- ✓ Low cost of production
- ✓ Mostly owned by individuals or small groups

◆ Types of Small Scale Industries

SSI can be classified into several types based on **function**, **nature of activity**, and **type of production**

1. Manufacturing Industries
2. Service Industries
3. Ancillary Industries
4. Cottage Industries



5. Export Oriented Units

6. Mining or Preservation based Industries

1. Manufacturing Industries

These industries **produce goods** using raw materials and machinery.

Examples:

- ✓ Furniture making
- ✓ Food processing
- ✓ Soap and detergent production
- ✓ Bakery

☞ Purpose: **Convert raw materials → finished products**

2. Service Industries

These industries provide **services** instead of goods.

Examples:

Repair shops

Tailoring

Mobile repair

Beauty parlours

☞ Purpose: **Provide service to customers**



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3. Ancillary Industries

These industries **support large industries** by supplying components, spare parts, or tools.

Examples:

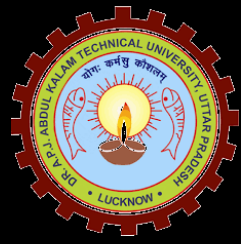
- ✓ Auto parts manufacturers
- ✓ Small machine part makers
- ☞ Purpose: **Help big companies by giving parts**

4. Cottage Industries

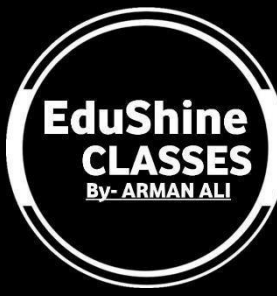
These industries operate **at home or very small units**, usually with family members.

Examples:

- ✓ Handloom
- ✓ Handmade crafts
- ✓ Pickle and papad making
- ✓ Candle making
- ☞ Purpose: **Family-based small production**



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5. Export-Oriented Units

These industries produce goods mainly for **export to other countries**.

Examples:

- ✓ Garment exporters
- ✓ Leather goods
- ✓ Handicrafts

☞ Purpose: **Earn foreign exchange**

6. Mining or Preservation-Based Industries

Small units working in **processing and storage**.

Examples:

- ✓ Cold storage
- ✓ Spices grinding
- ✓ Oil mills

☞ Purpose: **Processing and preserving raw materials**



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◆ Growth of Small-Scale Industries in India :

Small-Scale Industries (SSI) have grown **rapidly** in India since independence. They have become an important part of India's industrial and economic development.

☞ **In simple words:**

Small industries in India have increased in number, production, employment, and importance.

◆ Reasons for the Growth of SSI in India :(V.IMP)

1. Availability of Raw Materials

India has plenty of local raw materials like:

- ✓ cotton
- ✓ jute
- ✓ leather
- ✓ wood
- ✓ spices

This helps small industries grow easily.



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2. Low Investment Requirement

SSI need **small capital** and simple machines.

Even middle-class and rural people can start small businesses.

3. Government Support

Indian government provides:

- ✓ subsidies
- ✓ easy loans
- ✓ training programs
- ✓ tax benefits
- ✓ MSME schemes

These greatly encourage small industries.

4. Employment Opportunities

SSI create **large employment** for:

- ✓ rural people
- ✓ unskilled workers

✓ women

5. Use of Local Skills

Traditional Indian skills and crafts help in growth:

- ✓ handloom
- ✓ handicrafts
- ✓ pottery
- ✓ weaving

These small industries preserve India's culture and provide jobs.

Because they need more **labour** and less **machines**.



6. Growing Demand for Goods

Indian consumers prefer:

- ✓ low-cost products
- ✓ locally made goods

SSI supply these goods → demand increases → industry grows.

7. Export Opportunities

Many small industries export products like:

- ✓ garments
- ✓ spices
- ✓ handicrafts

Export demand has boosted SSI growth.

8. Rural Industrialization

Small units are easy to start in rural areas, so many SSI have developed:

- ✓ in villages
- ✓ semi-urban areas

✓ small towns

This reduces pressure on big cities.



9. Flexibility and Quick Decisions

SSI can easily change:

- ✓ product
- ✓ design
- ✓ process

This flexibility helps them survive competition.

◆ Results of SSI Growth in India

Because of these factors, SSIs have grown in terms of:

- ✓ Number of units increased
- ✓ Employment increased
- ✓ Production increased
- ✓ Exports increased
- ✓ Contribution to GDP increased



◆ **Role of Small-Scale Industries in National Economy :**

Small-Scale Industries (SSI) play a **very important role** in the economic development of India. They help in creating jobs, increasing production, and supporting rural growth.

☞ **In simple words:**

SSI help India grow by creating employment, increasing income, and supporting industrial development.

1. Large Employment Generation

SSI use more labour and fewer machines.

They give jobs to:

rural people

women

unskilled and semi-skilled workers

✦ **SSI = biggest job creators after agriculture**



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2. Increase in Production

SSI produce:

- ✓ consumer goods
- ✓ machine parts
- ✓ handicrafts
- ✓ food items

They help meet daily needs of the population.

3. Contribution to GDP

SSI contribute significantly to:

- ✓ Industrial production
- ✓ National income
- ✓ GDP growth

They make India's economy stronger.

4. Promotes Exports

SSI export:

- ✓ garments
- ✓ leather goods
- ✓ handicrafts
- ✓ spices

This helps India earn **foreign exchange**.

5. Development of Rural Areas

SSI can be easily started in rural areas.

They help in:

- ✓ reducing migration to cities
- ✓ balancing regional development
- ✓ improving rural income



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6. Use of Local Resources

SSI use:

- ✓ local raw materials
- ✓ local labour
- ✓ local skills

This reduces transportation cost and increases efficiency.

7. Encourages Entrepreneurship

SSI help common people become entrepreneurs.

This builds a culture of:

- ✓ innovation
- ✓ risk-taking
- ✓ self-employment

8. Low Capital Requirement

SSI need small investment.

This allows more people to start businesses and grow the economy.

9. Support to Large Industries

SSI supply:

- ✓ spare parts
- ✓ components
- ✓ tools
- ✓ packing materials

✦ These are **ancillary industries** that support large factories.

10. Improves Standard of Living

SSI produce affordable products for daily use.

This helps people live better lives.



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◆ Characteristics of Small-Scale Industries :

1. Low Investment

SSI require small capital to start and operate.

2. Simple Technology

They use basic machines and simple production methods.

3. Labour Intensive

More workers and fewer machines are used.

4. Use of Local Resources

SSI depend on local raw materials, local labour, and local skills.

5. Easy to Start

They need less paperwork and less formalities compared to large industries.

6. Small Production Capacity

Goods are produced in small quantity.

7. Flexible Operations

They can easily change products or processes based on demand.

10. Creates Employment

They provide jobs especially in rural and semi-urban areas.



❖ Difference between Small Scale & Large Scale Industry :

Point	Small-Scale Industry (SSI)	Large-Scale Industry (LSI)
1. Investment	Low investment	Very high investment
2. Technology	Simple machines	Advanced technology & heavy machines
3. Employment	Labour-intensive (more workers)	Capital-intensive (more machines)
4. Production	Small quantity	Large quantity, mass production
5. Ownership	Owned by individuals/small groups	Owned by companies/corporations
6. Raw Materials	Local raw materials	Raw materials from many sources
7. Market	Local or regional market	National and international markets
8. Flexibility	Flexible, easy to change products	Less flexible due to large setup
9. Setup Time	Easy and quick to start	Requires long time to establish
10. Examples	Bakery, handloom, small workshops	Steel plants, automobile factories



❖ What is Subcontrol (Subcontracting)?

Subcontrol (or Subcontracting) means a large company gives some part of its work to a small-scale industry.

👉 Simple words:

A big company cannot do everything itself → so it gives small tasks to small industries.

Examples:

A car company gives seat-making work to a small unit.

A TV company gives circuit board work to a small workshop.

◆ Types of Ancillary Industries under Subcontrol(V.VIMP)

Ancillary industries = small industries that **support big industries** by supplying parts, components or services.

There are two main types:

1. Demand based Ancillary Industries
2. Resources based Ancillary industries



1. Demand-Based Ancillary Industries

These industries are created because a large industry has high demand for some particular parts, materials, or services.

👉 In simple words:

Demand-based = made because a big industry needs something regularly.

◆ Key Features :

- ✓ Depends on **continuous demand** of big industries
- ✓ Produces **specific components**
- ✓ Works almost like a supplier for the parent company
- ✓ Guaranteed orders from big industry
- ✓ Stable and steady business

◆ Examples

Small company supplying **nuts & bolts** to Tata Motors

A workshop making **bike parts** for Hero MotoCorp

A company making **mobile chargers** for Samsung

Small unit making **packaging boxes** for a large food company



2. Resource-Based Ancillary Industries

These industries are started because a particular raw material or natural resource is easily available in that area.

☞ **In simple words:**

Resource-based = based on local natural resources.

◆ **Key Features :**

- ✓ Started near where resources are available
- ✓ Low transportation cost
- ✓ Best use of local resources
- ✓ Creates job opportunities in rural areas
- ✓ Dependent on nature/availability of raw materials

◆ **Examples**

- | | |
|---|---|
| ✓ Rice mills near paddy-growing areas | ✓ Oil mills where sunflower/groundnut is plenty |
| ✓ Cotton ginning units near cotton fields | ✓ Saw mills near forests |
| ✓ Sugar mills near sugarcane farms | ✓ Coir industry near coconut plantations |



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◆ Government Policies for Small-Scale Industries : (V.IMP)

Government policies for SSI are rules, support programs, and schemes created by the government to **help small industries grow**, reduce their problems, and encourage more people to start small businesses.

☞ **Simple words:**

Government policy = support and help given by government to small industries.

◆ 1. Financial Assistance Policy

Government provides **easy loans** and **low-interest loans** through:

- ✓ Banks
- ✓ Cooperative societies
- ✓ SIDBI
- ✓ MSME loan schemes

☞ **Helps SSI get money to start or expand business.**



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◆ 2. Subsidy Policy

Government gives **subsidies** (financial help) for:

- ✓ buying machinery
 - ✓ installing equipment
 - ✓ using new technology
 - ✓ electricity or power consumption
- ☞ Reduces the total cost for small industries.

◆ 3. Tax Exemption Policy

SSI get:

- ✓ lower taxes
- ✓ tax holidays
- ✓ special exemptions

☞ This reduces financial burden and encourages new units.

◆ 4. Training and Skill Development Policy

Government runs **Entrepreneurship Development Programmes (EDP)** to train people in:

- ✓ business skills
- ✓ marketing
- ✓ finance
- ✓ management
- ✓ technical skills

☞ This prepares people to become good entrepreneurs.



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◆ 5. Industrial Estate Policy

Government creates **Industrial Estates** where SSI get:

- ✓ land
- ✓ sheds
- ✓ water
- ✓ electricity
- ✓ facilities at low cost

☞ Helps small businesses reduce setup cost.

◆ 6. Reservation Policy

Certain products are **reserved only for small industries**, so that big companies cannot manufacture them.

Example: Handicrafts, traditional goods, simple consumer goods.

☞ Ensures small industries get a steady market.



◆ 7. Marketing Assistance Policy

Government helps SSI in marketing by:

- ✓ organizing fairs and exhibitions
- ✓ providing marketing centers
- ✓ giving digital marketing support
- ✓ promoting export

☞ Helps SSI sell their products easily.

◆ 8. Technology Upgradation Policy

Government helps SSI modernize by:

- ✓ providing grants for new machines
- ✓ encouraging digital tools
- ✓ supporting modern production methods

☞ Helps SSI compete with big industries.

◆ 9. Export Promotion Policy

Government supports SSI to export goods through:

- ✓ export subsidies
 - ✓ export finance
 - ✓ duty-free import of raw materials
- ☞ Helps SSI enter international markets.

◆ 10. Protection Policy

Government protects SSI by:

- ✓ setting import restrictions
- ✓ giving preference in government purchases
- ✓ reducing competition from foreign companies

☞ Ensures the survival and growth of small units.



◆ Stages in Starting a Small-Scale Industry :

1. Idea Generation

Think of a business idea based on demand, skills, and resources.

2. Project Selection

Choose the best idea that is profitable and possible to start.

3. Market Study

Study the market:

- ✓ Who are the customers?
- ✓ What is the demand?
- ✓ Who are the competitors?

4. Preparing Business Plan

Prepare a project report containing:

- ✓ cost
- ✓ machinery
- ✓ raw material
- ✓ process
- ✓ profit expected

5. Arrangement of Finance

Arrange money from:

- ✓ banks
- ✓ government loans
- ✓ personal savings

6. Selection of Location

Choose a suitable place with:

- ✓ transport
- ✓ electricity
- ✓ availability of labour



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7. Registration and Licensing

Register the unit and get necessary licenses from government.

8. Purchase of Machinery

Buy required machines, tools, and equipment.

9. Recruitment of Workers

Hire skilled and unskilled workers for production.

10. Production and Testing

Start production, test quality, and improve the product.

11. Marketing

Sell the product through wholesalers, retailers, online, or direct sales.



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◆ Types of Entrepreneurs

1. Innovative Entrepreneur

Creates new ideas, products, or methods.

Example: inventors, technology creators.

2. Imitative (Adoptive) Entrepreneur

Copies or adopts successful ideas from others.

Example: starting a business similar to an existing one.

3. Fabian Entrepreneur

Very cautious and hesitant.

Starts only when the situation is safe or necessary.

4. Drone Entrepreneur

Does not change old methods even if business is losing.

Rigid and traditional.

5. Social Entrepreneur

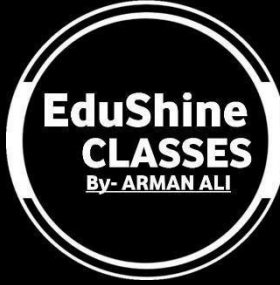
Works for social welfare, not only for profit.

8. Technocrat Entrepreneur

Persons with technical background (engineers/scientists) starting technical businesses.



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Thank You....



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Unit – 2 Project Identification

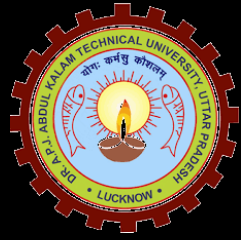
II	Project identification- assessment of viability, formulation, evaluation, financing, field-study and collection of information, preparation of project report, demand analysis, material balance and output methods, benefit cost analysis, discounted cash flow, internal rate of return and net present value methods.
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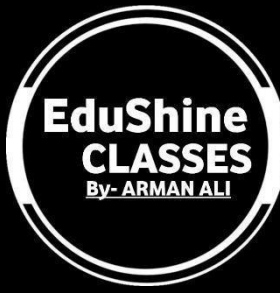
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◆ What is a Project?

A **project** is a **planned set of activities** designed to achieve a specific goal within a **fixed time**, **fixed cost**, and with **specific resources**.

☞ **In simple words:**

Project = a planned work with clear goal, time limit, cost, and steps.

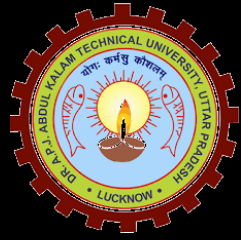
Examples:

- Starting a small industry
- Building a house
- Launching a new product
- Opening a bakery

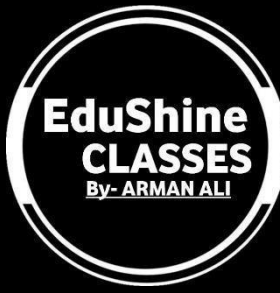
◆ Characteristics of a Project

1. Specific Objective

Every project has a **clear goal** (e.g., build a factory, develop a product).



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2. Fixed Time Period

A project must be completed within a **given time**.

Example: 6 months, 1 year, etc.

3. Limited Budget

Money available for the project is fixed.

Costs must stay within the budget.

4. Sequence of Activities

A project has many steps that must be done in a **proper order**, one after another.

5. Use of Resources

A project needs resources like:

- money
- manpower
- machines
- materials

6. Uniqueness

A project is **not routine work**.

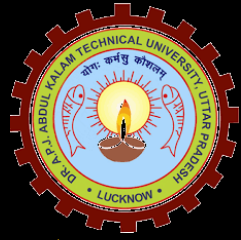
It is done only once or for a special purpose.

7. Risk and Uncertainty

Each project involves some level of risk (market, financial, technical risks).

10. Teamwork

Projects are completed by a **team**, not by one person alone.



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◆ Project Identification

Project Identification means finding a good business idea that is suitable, profitable, and possible to start.

☞ In simple words:

Project Identification = choosing the right business idea.

It is the first step in starting any new industry or project.

◆ Process of Project Identification(V.VIMP)

Here are the steps in simple language:

1. Generate Ideas

Think of different business ideas based on:
your skills

- local resources
- market needs
- new trends
- past experience

Example: bakery, mobile repair shop, food processing, small workshop, etc.



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2. Screening of Ideas

Check which ideas are:

- practical
- affordable
- profitable
- easy to start

Reject weak ideas and keep only good ones

3. Study Market Demand

Find out:

- What do customers want?
- Is there demand for the product?
- Who are competitors?

Only choose ideas that have good demand.

4. Check Technical Feasibility

Check if:

- technology is available
- raw materials are easily accessible
- machinery can be arranged

If not possible → reject the idea.

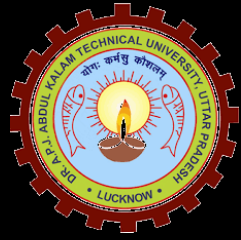
5. Check Financial Feasibility

Find out:

- How much money is needed?
- Can you get loans or funding?
- Is the project profitable?

Choose ideas that are affordable and give good returns.





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6. Check Economic & Social Feasibility

Ask questions like:

- Will the project create jobs?
- Will it benefit the local area?
- Will it improve standard of living?

Projects with high social benefit are preferred.

7. Final Selection of Project

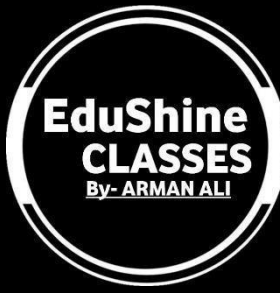
After all checks:

- select the best idea
- that is feasible
- profitable
- and useful

This becomes your **final project choice**.



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◆ Project Lifecycle(V.V.V.IMP)

A **Project Lifecycle** is the **step-by-step process** through which a project passes from **beginning to end**.

☞ **In simple words:**

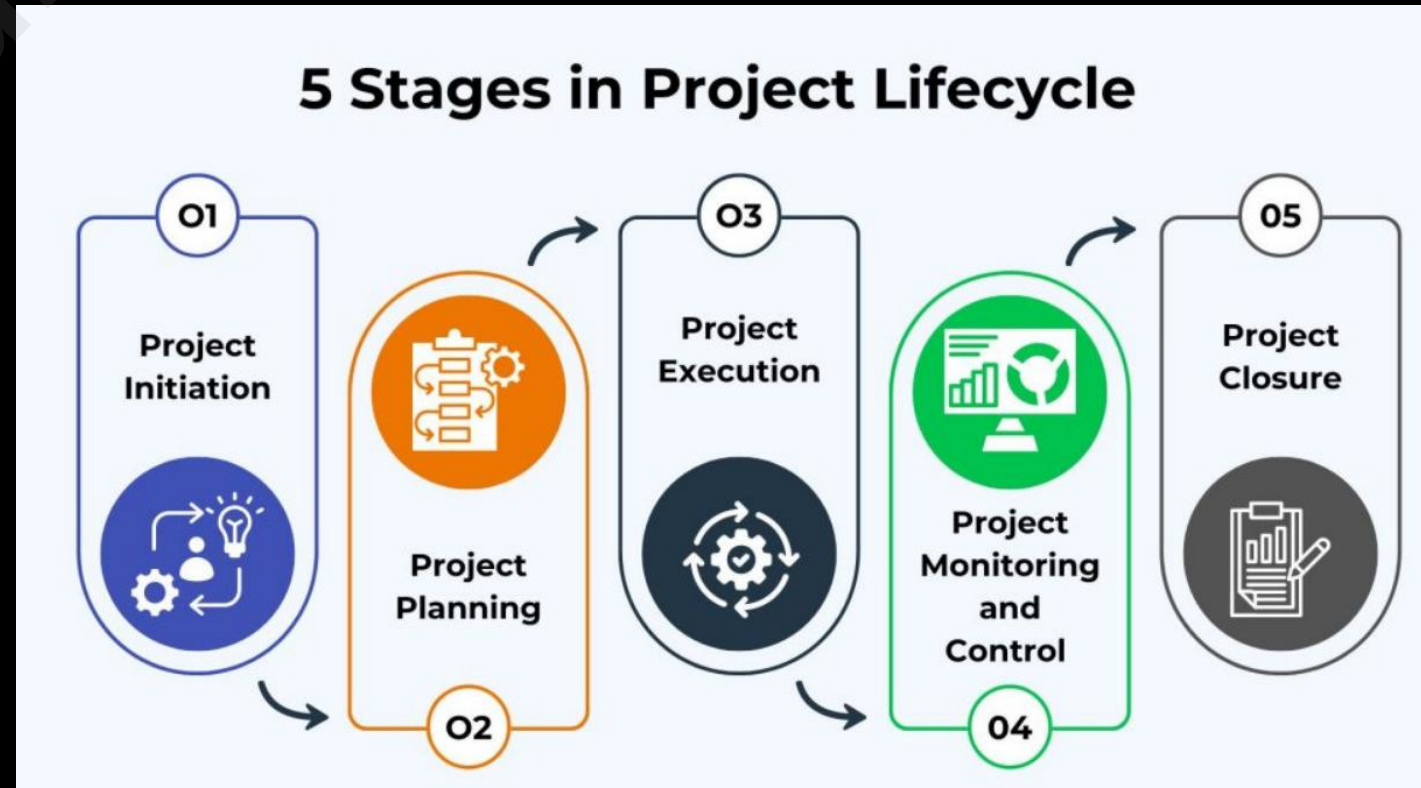
Project Lifecycle = different stages of completing a project.

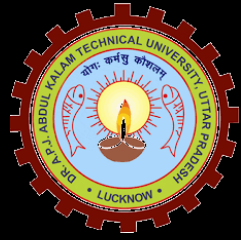
A project has 5 main stages.

1. Project Initiation (Beginning Stage)

- The idea of the project is created
- Purpose and goals are decided
- Feasibility (possibility) is checked
- Project is officially approved

☞ **Simple words:** Decide *what* to do and *why* it should be done.





2. Project Planning (Preparation Stage)

- Detailed plans are made
- Time schedule is prepared
- Budget is fixed
- Resources (men, money, machines) are arranged
- Risks are identified

☞ **Simple words:** Decide *how* to do the project.

3. Project Execution (Work Stage)

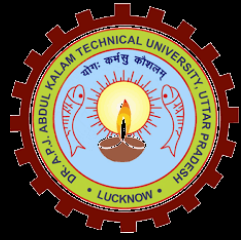
- Actual work on the project starts
- Tasks are performed
- Team members work according to the plan
- Quality and progress are maintained

☞ **Simple words:** Do the real work of the project.

4. Project Monitoring and Control (Checking Stage)

- Progress of the project is checked
- Compare actual work with the plan
- Correct mistakes
- Manage delays, problems, and risks

☞ **Simple words:** Check the work and fix issues.



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5. Project Closure (Ending Stage)

- Project work is completed
- Final report is prepared
- Resources are released
- Client approval is taken
- Team is appreciated or rewarded

👉 **Simple words:** Finish the project and close it.

Summary :

1. **Initiation** – Decide the idea and approve the project.
2. **Planning** – Prepare the plan, budget, and schedule.
3. **Execution** – Perform the actual work.
4. **Monitoring** – Check progress and control problems.
5. **Closure** – Complete and close the project.





◆ Assessment of Viability

Viability means whether a project is **possible**, **practical**, and **profitable**.

☞ **In simple words:**

Assessment of Viability = checking if the project can really work and give profit.

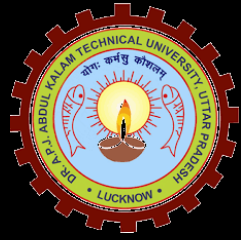
Before starting a business, an entrepreneur must check if the project is:

- workable
- affordable
- useful
- Profitable

◆ Types of Viability

Assessment of viability includes four main checks:

1. Technical Viability
2. Financial Viability
3. Market Viability
4. Economic/Social Viability



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1. Technical Viability

✓ Checks:

- Can the project be made with available technology?
- Is the machinery available?
- Are raw materials easy to get?
- Is the production process simple?

☞ Simple words:

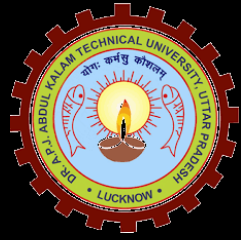
Can we make the product with available machines and skills?

2. Financial Viability

✓ Checks:

- How much money is needed?
- Can we arrange finance (loan, savings)?
- Is the project profitable?
- Can the business repay the loan?

☞ Simple words: Do we have enough money? Will we earn profit?



3. Market Viability

✓ Checks:

- Is there demand for the product?
- Who are the customers?
- Who are the competitors?

What is the price consumers are ready to pay?

☞ **Simple words:**

Will people buy the product?

4. Economic / Social Viability

✓ Checks:

- Will the project create jobs?
- Will it help local development?
- Will it increase income in the region?
- Does it benefit society?

☞ **Simple words:** Is the project good for society and economy?

◆ Why Assessment of Viability is Important?

- ✓ Avoids loss and failure
- ✓ Helps choose the best project
- ✓ Saves time and money
- ✓ Ensures long-term success
- ✓ Helps get bank loans



◆ Project Formulation

Project Formulation means preparing all details about the project before starting it. It is the process of collecting, studying, and analyzing information needed to make the project successful.

☞ **Simple words:**

Project Formulation = planning the project in detail before starting it.

❖ Stages of Project Formulation : (V.VIMP)

These are the main steps involved in project formulation:

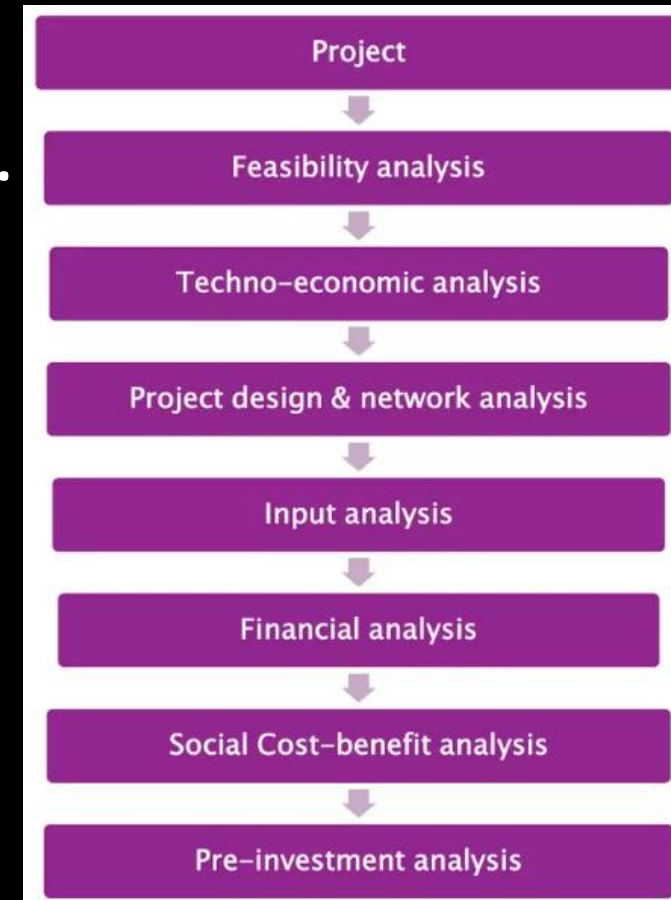
1. Feasibility Analysis

Check whether the project idea is possible or not.

Includes:

- Technical feasibility
- Financial feasibility
- Market feasibility

☞ **Simple words:** Can this project work successfully?





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2. Techno–Economic Analysis

Study both **technical** and **economic** aspects:

Technical:

- machinery
- raw materials
- production process

Economic:

- cost
- profit
- demand

☞ **Simple words:** Is the technology suitable and is it economically profitable?

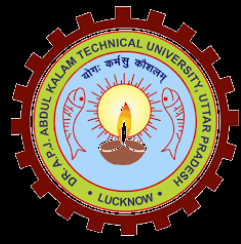
3. Project Design & Network Analysis

Prepare the plan for:

- layout of factory
- design of product
- production schedule
- sequence of activities

Network tools like **PERT/CPM** may be used.

☞ **Simple words:** How will the project work step-by-step?



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4. Input Analysis

Check availability of required inputs:

- raw materials
- power
- water
- labour
- transport machines

☞ **Simple words:** Do we have everything needed to run the project?

5. Financial Analysis

Study:

- total cost of project
- working capital
- loans required
- cash flow
- break-even point

☞ **Simple words:** How much money is needed and will it give profit?

6. Social Cost–Benefit Analysis

Check the benefit of the project to society:

- job creation
- development of rural areas
- environmental impact
- increase in income

☞ **Simple words:** Is the project good for society?



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7. Pre-Investment Analysis

Final evaluation before investing.

Includes:

- risk analysis
- profitability
- future growth
- final decision-making

👉 **Simple words:** Final check before investing money.



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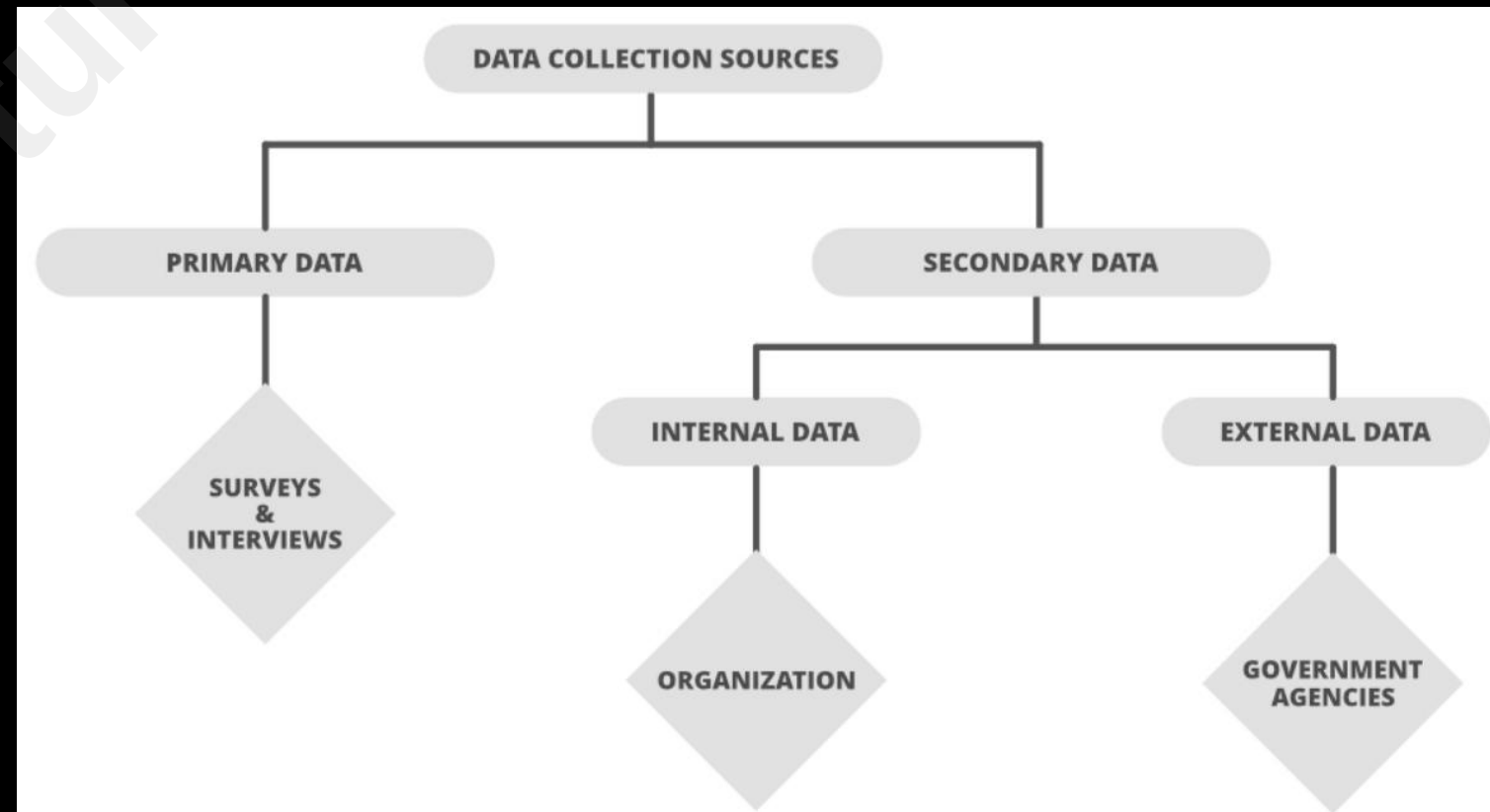


◆ Methods of Collection of Information

To prepare a project, we need information about:

- market
- customers
- resources
- costs
- competitors

This information can be collected through **two main methods**:





1. Primary Data Collection

Primary data = fresh, original information collected directly from people.

➡ **Simple words:**

Information collected for the first time.

✓ **Methods of Primary Data Collection**

a) **Surveys**

- Asking questions to customers
- Using paper forms or online forms
- Helps understand customer needs and preferences

b) **Interviews**

- One-to-one conversation
- Face-to-face or telephonic
- Helps get detailed information

c) **Observation**

Watching customer behavior

Example: Seeing what people buy more in a shop

d) **Experiments**

Testing a product with a small group before launching it

✍ **Examples of Primary Data**

- ✓ Interviewing shopkeepers
- ✓ Conducting a market survey
- ✓ Asking customers through a questionnaire



2. Secondary Data Collection

Secondary data = information already collected by others.

☞ **Simple words:**

Information that already exists and we use it again.

✓ Types of Secondary Data

a) Internal Secondary Data

Data available **within the organization**, such as:

- sales records
- production reports
- past project reports

company databases

☞ **Example:** A company checks last year's sales to understand demand.

b) External Secondary Data

Data collected from **outside sources**, such as:

- government publications
- books and journals
- websites
- newspapers
- research reports
- industry statistics

☞ **Example:** Using data from RBI, MSME reports, census data.



◆ What is a Project Report?

A **Project Report** is a **written document** that contains all important details of a project such as:

- what the project is
- how it will be done
- how much it will cost
- who will do it
- how much profit it will give

☞ Simple words:

A project report is a complete plan of a project written on paper.

It helps banks, investors, and government understand the project.

◆ Why Project Report is Important?

- ✓ Helps get loans from banks
- ✓ Helps understand cost, profit, and risks
- ✓ Helps plan activities correctly
- ✓ Reduces chances of failure



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◆ How to Prepare a Good Project Report?(V.IMP)

Qualities of a Good Project Report :

A good project report should be:

1. Clear and simple
2. Well organized
3. Accurate in data
4. Complete with all sections
5. Realistic and practical
6. Free from errors
7. Useful for decision-making



◆ What is Demand Analysis?

Demand Analysis means studying how much quantity of a product people want to buy at a certain price and time.

☞ **Simple words:**

Demand Analysis = finding out if customers want your product, how much they want, and at what price.

It helps entrepreneurs decide:

- what to produce
- how much to produce
- what price to fix

◆ Why Demand Analysis is Important?

- ✓ Helps know if the product will sell
- ✓ Helps avoid losses
- ✓ Helps decide production level
- ✓ Helps plan pricing



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◆ Methods of Demand Analysis (V.IMP)

Demand analysis can be done using **two main methods**:

1. Primary Methods (Fresh Data Collection)

This includes collecting **new data directly** from customers.

✓ a) Surveys

Ask questions to customers using forms
Helps know buying habits, preferences

✓ b) Interviews

Talk directly to customers or shopkeepers
Helps get detailed information

✓ c) Observation

Observe what customers buy in shops
Helps know popular products

✓ d) Market Experiments

Launch product in small area first
Check response

If demand is good → full launch

☞ **Simple words:**

Collecting new information from real people.



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2. Secondary Methods (Existing Data)

This includes using **already available information**.

✓ a) Government Reports

Census data

MSME reports

Economic surveys

Tells about population, income, market size.

✓ b) Industry Reports

Data from industry associations

Chamber of commerce reports

✓ c) Company Records

Past sales data

Customer complaints

Previous demand patterns

✓ d) Websites, Journals & Newspapers

Online market studies

Business articles

Statistical data

☞ **Simple words:**

Using old data collected by others.



❖ Material Balance Method

Material Balance Method is used to estimate how much raw material is needed and how much finished product will be produced.

👉 **Simple words:**

Material In = Material Out

(Input = Output)

This method makes sure there is **no shortage or wastage** of raw materials.

◆ Example (Very Simple)

To produce **1 kg of sugar**, a factory needs **10 kg of sugarcane**.

If you need **500 kg sugar**,
you must buy $500 \times 10 = 5000$ kg sugarcane.

This is **material balance**.

◆ Steps

1. Identify all inputs (raw materials).
2. Identify all outputs (products & waste).
3. Check if **total input = total output + waste**.
4. Calculate required raw materials.
5. Adjust for losses and inefficiency.



❖ Output Method

Output Method is used to **measure production capacity** and **calculate the total output** of a project or industry.

👉 **Simple words:**

Output Method = how much product a factory can produce.

◆ Example (Very Simple)

A machine produces **100 units per hour**.

If the factory works **8 hours a day**,

Total output = **$100 \times 8 = 800$ units per day**.

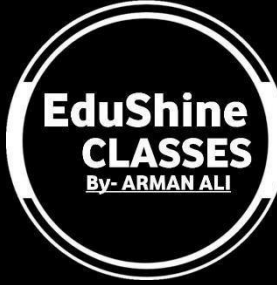
This is **output method**.

◆ Steps :

1. Identify production capacity of machines.
2. Find working hours per day.
3. Multiply capacity $\times$ working hours.
4. Adjust for maintenance time and breakdowns.



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❖ Difference between Material balance and Output method :

Material Balance	Output Method
Calculates raw material needed	Calculates total production output
Focus on INPUT	Focus on OUTPUT
Helps reduce waste	Helps plan production capacity
Used in manufacturing planning	Used in sales & profit planning

❖ What is Cost-Benefit Analysis?

Cost-Benefit Analysis (CBA) is a method used to **compare the total costs and total benefits** of a project to decide whether it is **profitable or not**.

☞ **Simple words:**

CBA = Compare money spent vs. money gained.

If benefit > cost → project is good.

It helps entrepreneurs choose the best project.



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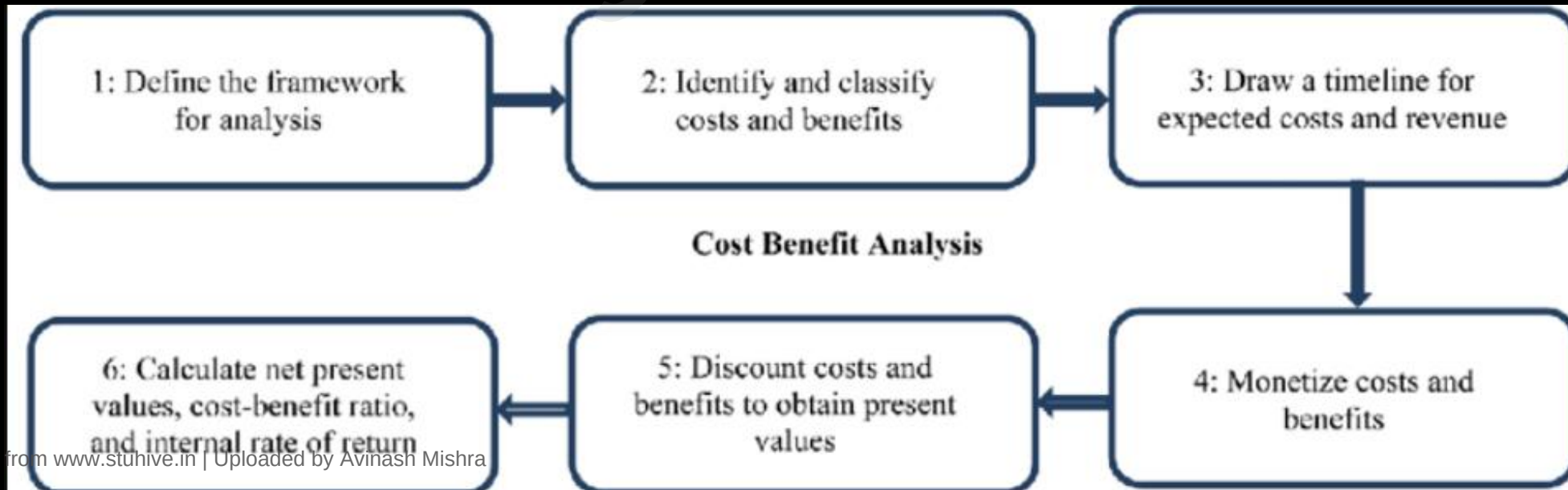


◆ Why Cost-Benefit Analysis is Important?

- ✓ Helps decide if the project is worth doing
- ✓ Helps avoid loss
- ✓ Helps compare different projects
- ✓ Helps in taking investment decisions

❖ Stages of Cost-Benefit Analysis : (V.VIMP)

Here are the stages shown in the diagram, explained simply.





1. Define the Framework for Analysis

Decide:

- purpose of the project
- time period (1 year, 5 years, etc.)
- who is affected (customers, society, business)

➡ **Simple words:**

Decide what you are analyzing and for whom.

2. Identify and Classify Costs and Benefits

List all costs:

- raw materials
- labour
- machinery
- electricity
- rent

List all benefits:

- sales revenue
- profit
- job creation
- social benefits

➡ **Simple words:**

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3. Draw a Timeline for Expected Costs and Revenues

Show **when** costs and benefits will happen:

Example:

- Year 1 → cost of machinery
- Year 2 → start production
- Year 3 → profit increases

➡ **Simple words:**

Decide in which year money will be spent or earned.

Write down all costs and all benefits.



4. Monetize Costs and Benefits

Convert everything into **money value**.

Example:

- Job creation → savings
- Pollution control → cost
- Improved health → benefit

👉 Simple words:

Put money value on every cost and every benefit.

5. Discount Costs and Benefits (Present Value)

Future money is worth less than today's money.

So we **discount** future income to calculate its **present value**.

👉 Simple words:

Convert future money into today's value using discount rate.

(Used in DCF, IRR, NPV)



6. Calculate NPV, IRR, and Cost-Benefit Ratio

✓ NPV (Net Present Value)

NPV = Present Value of Benefits – Present Value of Costs

If $NPV > 0 \rightarrow$ project is good

✓ IRR (Internal Rate of Return)

IRR = discount rate at which NPV becomes zero

Higher IRR $\rightarrow$ better project

✓ Cost-Benefit Ratio

CB Ratio = Total Benefits / Total Costs

If $CBR > 1 \rightarrow$ project is beneficial

☞ **Simple words:**

Calculate final numbers and decide if project is profitable.

◆ Final Decision

If:

- Benefits $>$ Costs
- NPV positive
- IRR high
- CB Ratio > 1

☞ Project is good and should be accepted.



◆ Discounted Cash Flow (DCF) –

Discounted Cash Flow (DCF) is a method used to find the present value of future cash flows (money) by applying a **discount rate**.

☞ **Simple words:**

DCF = Today's value of future money.

Because money received in the future is **less valuable** than money received today.

Example:

₹100 today $\neq$ ₹100 next year

(Next year's ₹100 is worth less today)

So, we **discount** future money.

◆ Basic Components of DCF

There are **three basic components**:

1. Cash inflows
2. Cash outflows
3. Discount rate



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1. Cash Inflows (Future Earnings)

These are the amounts the project will **earn** in the future:

Examples:

- Sales revenue
- Profit
- Cost savings
- Income from assets

☞ **Simple words:**

Money coming in future.

2. Cash Outflows (Future Costs)

These are the amounts the project will **spend** in the future:

Examples:

- Raw materials
- Labour cost
- Operating expenses

☞ **Simple words:**

Money going out in future.



3. Discount Rate

The **interest rate** used to convert future money into present value.
It represents:

- risk
- inflation
- cost of capital
- time value of money

☞ **Simple words:**

Rate used to reduce future money to today's value.

Higher discount rate → lower present value

Lower discount rate → higher present value

❖ **DCF Formula :**

$$DCF = \frac{\text{Cash Flow}}{(1 + r)^n}$$

Where r – discount rate, n – year



❖ Net Present Value (NPV)

NPV is the difference between the present value of future cash inflows and the present value of cash outflows.

☞ **Simple words:**

NPV = Today's value of future income – Today's value of costs

It tells whether a project will give profit or loss.

◆ NPV Decision Rule

If $NPV > 0 \rightarrow$ Project is **profitable**, accept it

If $NPV < 0 \rightarrow$ Project will **lose money**, reject it

If $NPV = 0 \rightarrow$ No profit, no loss

◆ NPV Formula (Easy Form)

$$NPV = \sum \frac{\text{Cash Inflows}}{(1 + r)^n} - \text{Initial Investment}$$

Where:

- r = discount rate
- n = year number



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◆ Simple Example

Investment = ₹10,000

Future cash inflow after 1 year = ₹12,000

Discount rate = 10%

$$PV = \frac{12000}{1.10} = 10909$$

$$NPV = 10909 - 10000 = +909$$

👉 NPV is positive, so the project is profitable.



❖ Internal Rate of Return (IRR)

IRR is the discount rate at which the NPV of a project becomes zero.

☞ **Simple words:**

IRR = the rate of return at which the project breaks even.

(Benefits = Costs)

It tells how fast your investment grows.

◆ IRR Decision Rule

If $IRR > \text{required return} / \text{interest rate} \rightarrow \text{Accept project}$

If $IRR < \text{required return} \rightarrow \text{Reject project}$

◆ Simple Understanding

IRR is like the interest rate the project gives you.

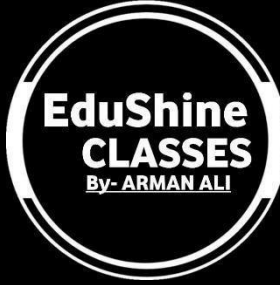
Example:

If a project has $IRR = 15\%$, it means the project gives a **15% return** every year.

If bank gives 8% interest $\rightarrow$ Project is better.



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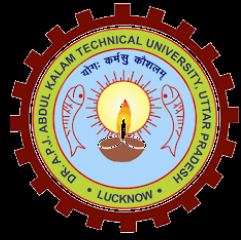


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Unit – 3 Accountancy

III	Accountancy- Preparation of balance sheets and assessment of economic viability, decision making, expected costs, planning and production control, quality control, marketing, industrial relations, sales and purchases, advertisement, wages and incentive, inventory control, preparation of financial reports, accounts and stores studies.
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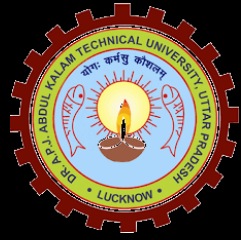


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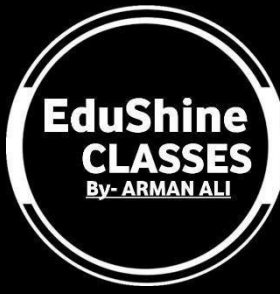


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❖ What is Accounting?

Accounting is the process of **recording, summarizing, and reporting** all the money-related activities of a business.

👉 Simple words:

Accounting = keeping record of all business money (income, expenses, assets, liabilities).

It helps a business know:

- how much money it has
- how much it earns
- how much it spends
- profit or loss

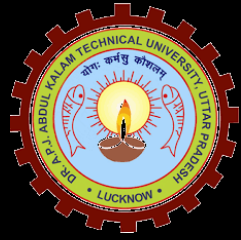
◆ Functions of Accounting (V.IMP)

Here are the main functions:

1. Recording (Bookkeeping)

All financial transactions (sales, purchases, cash, expenses) are written in books.

👉 Simple: Write every money-related activity.



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2. Classifying

Recorded data is grouped into categories:

- sales
- purchases
- salary
- rent
- machinery

☞ **Simple:**

Arrange the transactions into groups.

4. Analyzing

Check why profit increased or decreased, why cost went up, etc.

☞ **Simple:**

Study the reports to understand business performance.

3. Summarizing

All classified data is summarized to prepare:

- Profit & Loss Account
- Balance Sheet
- Cash Flow Statement

☞ **Simple:**

Make final reports from the records.

5. Interpreting

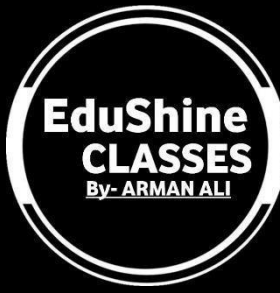
Explain the results to owners, managers, banks, etc.

☞ **Simple:**

Tell what the numbers mean.



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6. Communicating

Share financial information with:

- management
- investors
- banks
- government

☞ **Simple:**

Give financial reports to people who need them.

8. Assist in Decision Making

Helps manager decide:

- pricing
- budgeting
- investments
- cost control

☞ **Simple:** Helps the business take correct decisions.

7. Safeguarding Assets

Ensures proper control of:

- cash
- stock
- machinery
- furniture

☞ **Simple:**

Protect business property from misuse.

9. Legal Compliance

Helps maintain records required by:

- GST
- Income Tax
- Companies Act

☞ **Simple:**

Follow government rules.



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❖ What is a Balance Sheet?

A **Balance Sheet** is a **financial statement** that shows the **financial position** of a business on a particular date.

👉 Simple words:

Balance Sheet = What the business owns (assets) and what the business owes (liabilities).
It is prepared at the end of every accounting period (like 31st March).

❑ Main Components of Balance Sheet

A Balance Sheet has **two major sides**:

1. Assets (What the business owns)

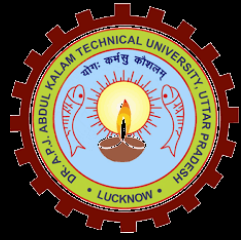
These are the properties and resources of the business.

❖ Types of Assets:

a) Fixed Assets

- Used for a long time.
- Building
- Machinery





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b) Current Assets

- Converted into cash quickly.
- Cash
- Bank balance
- Stock
- Debtors (customers who owe money)

c) Intangible Assets

- Non-physical assets.
- Goodwill
- Patents
- Trademarks

☞ Simple words:

Assets = things that give benefit to the business.

2. Liabilities (What the business owes)

These are obligations or amounts payable.

❖ Types of Liabilities:

a) Long-term Liabilities

Payable after many years.

- Loans
- Mortgages

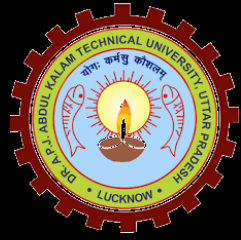
b) Current Liabilities

Payable within one year.

- Creditors
- Outstanding expenses
- Short-term loans

☞ Simple words:

Liabilities = money the business has to pay to others.



3. Owner's Equity (Capital)

This is the owner's investment in the business.

$$\text{Capital} = \text{Assets} - \text{Liabilities.}$$

- Owner's investment
- Profit added
- Less withdrawals

👉 **Simple:**

Capital = owner's share in the business.

❖ Objectives of a Balance Sheet :

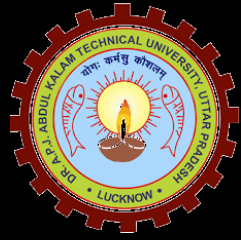
1. To show financial position

Tells the exact financial condition of the business on a given date.

2. To know assets and liabilities

Shows:

- What the business owns
- What it owes



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3. Helps in decision making

Owners and managers understand:

- How much to invest
- How much to borrow
- How to manage resources

4. Helps investors and banks

Banks check the balance sheet before giving loans.
Investors check financial strength before investing.

5. Legal requirement

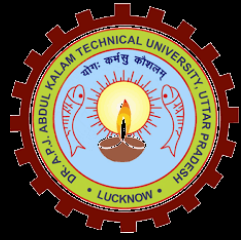
Companies must prepare a balance sheet every year as per law.

6. Helps calculate financial ratios

Ratios like:

- liquidity
- solvency
- profitability

These help measure business performance.



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❖ Preparing the balance sheet with hypothetical Example : (V.V.VIMP)

As on 31st March 2024

❑ Liabilities | Amount (₹)

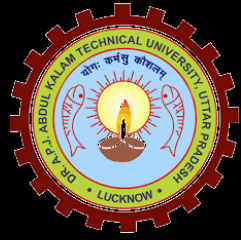
1. Capital – 1,00,000
2. Loan from Bank – 50,000
3. Creditors – 20,000
4. Outstanding Expenses – 5,000

Total Liabilities = 1,75,000

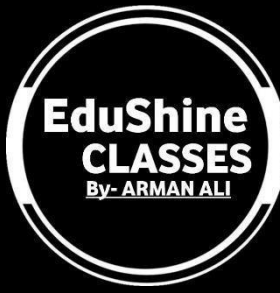
❑ Assets | Amount (₹)

1. Cash in Hand – 15,000
2. Cash at Bank – 25,000
3. Debtors – 20,000
4. Stock (Inventory) – 30,000
5. Furniture – 15,000

6. Machinery – 70,000 **Total Assets = 1,75,000**

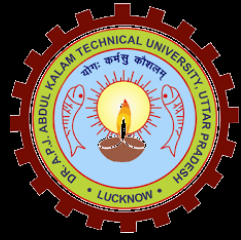


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Now Balance Sheet :

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital	1,00,000	Cash in Hand	15,000
Loan from Bank	50,000	Cash at Bank	25,000
Creditors	20,000	Debtors	20,000
Outstanding Expenses	5,000	Stock	30,000
		Furniture	15,000
		Machinery	70,000
Total	1,75,000	Total	1,75,000



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❖ Classification of Assets :

1. Fixed Assets

Used for long time (more than 1 year).

Examples: Building, Machinery, Furniture

2. Current Assets

Easily converted into cash within 1 year.

Examples: Cash, Bank, Stock, Debtors

3. Intangible Assets

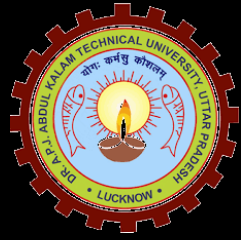
Non-physical assets.

Examples: Goodwill, Patents, Trademarks

4. Fictitious Assets

Not real assets but shown on asset side.

Examples: Preliminary expenses, Discount on issue of shares



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❖ Classification of Liabilities :

1. Long-Term Liabilities

Payable after more than 1 year.

Examples: Bank loan, Debentures

2. Current Liabilities

Payable within 1 year.

Examples: Creditors, Outstanding expenses, Short-term loan

3. Contingent Liabilities

Dependent on future events (may or may not happen).

Examples: Bills discounted, Court cases

4. Owner's Equity (Capital)

Owner's investment in the business.

Examples: Capital, Retained profits



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❖ **Assessment of Economic Viability :**

Economic viability means checking whether a project is **economically profitable** and worth investing in.

☞ **Simple words:**

Economic viability = Will the project give more benefits than costs?

If yes → project is economically viable.

It helps decide whether to **start, continue, or reject** a project.

❑ **Why Economic Viability is Important?**

- ✓ To avoid financial loss
- ✓ To check long-term profitability
- ✓ To understand cost vs. income
- ✓ To help in loan approval
- ✓ To compare different project options



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❖ Important Techniques for Assessing Economic Viability : (V.IMP)

Here are the most commonly used techniques:

1. Cost–Benefit Analysis (CBA)

Compares:

Total Costs of the project

Total Benefits expected

☞ If **Benefits > Costs**, project is good.

☞ **Simple words:** Compare money spent vs. money earned.

2. Net Present Value (NPV)

NPV = Present value of future cash inflows – Present value of costs.

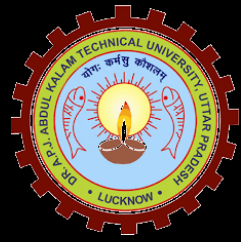
☞ If **NPV positive** → project profitable

☞ Simple: Today's value of future profit.

3. Internal Rate of Return (IRR)

IRR = The rate at which NPV becomes zero.

☞ If **IRR > bank interest / required return**, accept the project.



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❖ Process of Assessing Economic Viability

1. **Identify Costs** – List all expenses of the project.
2. **Identify Benefits** – List all expected income and profits.
3. **Estimate Cash Flow** – Calculate yearly inflow and outflow of money.
4. **Choose Discount Rate** – Select interest rate to calculate present value.
5. **Calculate Present Value** – Convert future money to today's value.
6. **Compare Costs and Benefits** – If $\text{benefits} > \text{costs} \rightarrow$ project is viable.
7. **Make Decision** – Accept or reject the project.



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❖ **Decision Making is the Essence of Managing :**

The statement means that **decision making is the most important part of management**. A manager's main job is to **make correct decisions** because every activity in an organization depends on decisions.

☞ **Simple words:**

A manager cannot manage without making decisions.
Good decisions = good management.

❖ **Why Decision Making is the Essence of Managing?**

1. All managerial functions need decisions

Planning, organizing, staffing, directing, and controlling ALL start with decisions.

Example: What to produce? How much to produce?

2. Decisions guide the entire organization

Employees follow the decisions made by managers.

Wrong decisions can harm the organization.



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3. Decisions solve problems

Every problem in business is solved by choosing the best option.

Decision = choosing the best solution.

4. Resources are used based on decisions

How to use money, people, machines, and materials is decided by the manager.

5. Decisions affect success or failure

Good decisions → profit

Bad decisions → loss

Thus, decisions are the **heart** of management.

6. Future planning depends on decisions

Managers must decide future goals, strategies, and policies.

7. Decision making links all activities

It connects planning → action → results.

Without decisions, no work can start.



❖ What is Production Planning?

Production Planning means deciding in advance:

- What to produce
- How to produce
- When to produce
- Who will produce

👉 Simple:

Production planning is **preparing a plan** to make sure products are made smoothly and on time.

❖ Main Elements of Production Planning

1. Planning

Setting goals and deciding the production method.

2. Routing

Selecting the **path/sequence** of operations.

(Which machine will do what work)



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3. Scheduling

Deciding **when** each job will start and finish.

4. Loading

Assigning work to **specific machines or workers**.

❖ What is Production Control?

Production Control ensures that the production plan is followed properly. It checks the actual work and corrects problems.

👉 **Simple:**

Production control = **monitoring and fixing** the production process.

❖ Steps Involved in Production Control (V.VIMP)

1. Dispatching

Sending instructions to start production.

Example: Giving orders to workers or machines to begin work.



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2. Follow-up (Progressing)

Tracking the progress of work.

Checking if production is happening on time.

3. Inspection

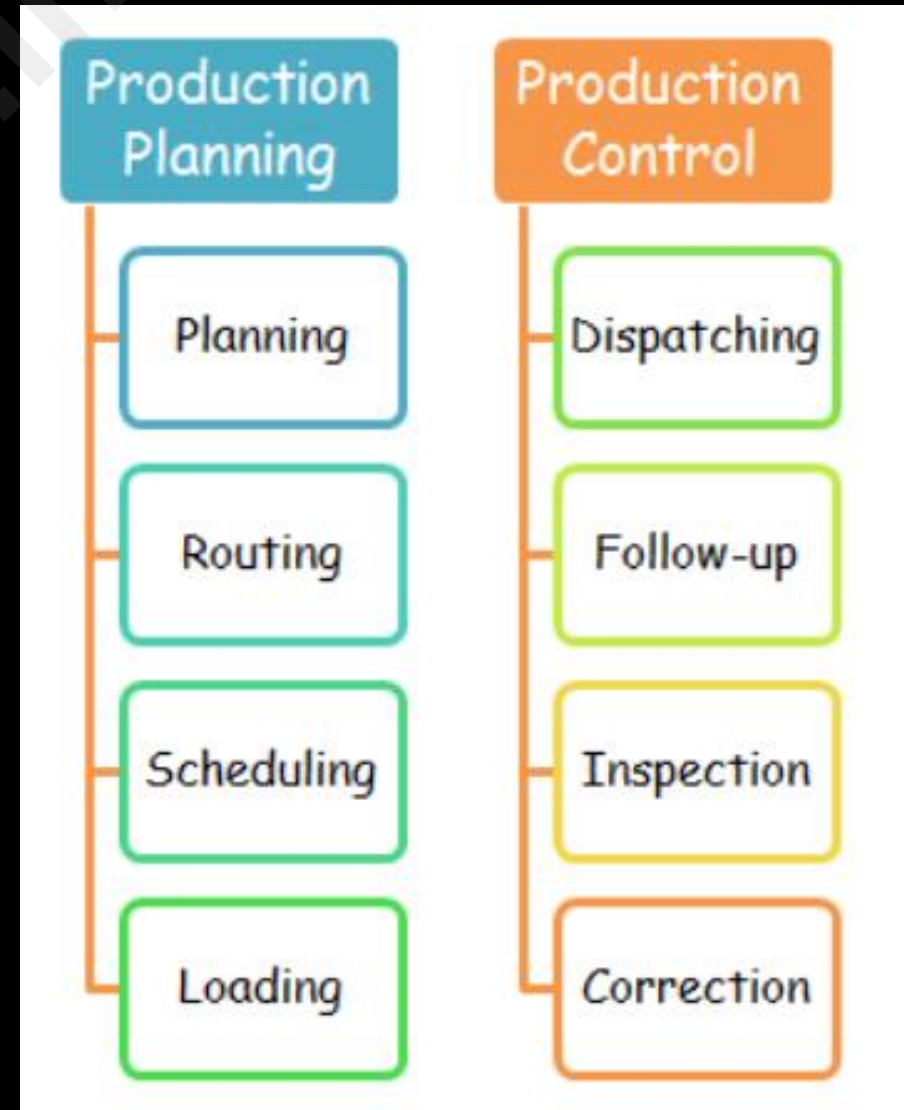
Checking the quality of the product.

Making sure the item is made correctly.

4. Correction

Fixing delays, defects, or problems in production.

Taking action to avoid future issues.





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❖ What is Quality Control? (V.VIMP)

Quality Control (QC) means checking products to ensure they meet the **required quality standards**.

☞ Simple words:

Quality control makes sure the product is **good, safe, and free from defects** before it reaches customers.

❑ Why Quality Control is Important?

1. Ensures customer satisfaction

Good-quality products make customers happy.

2. Reduces waste and defects

Detects mistakes early and prevents loss.

3. Improves company reputation

High-quality products increase trust in the brand.

4. Increases sales and profit

Better quality = more customers = more profit.



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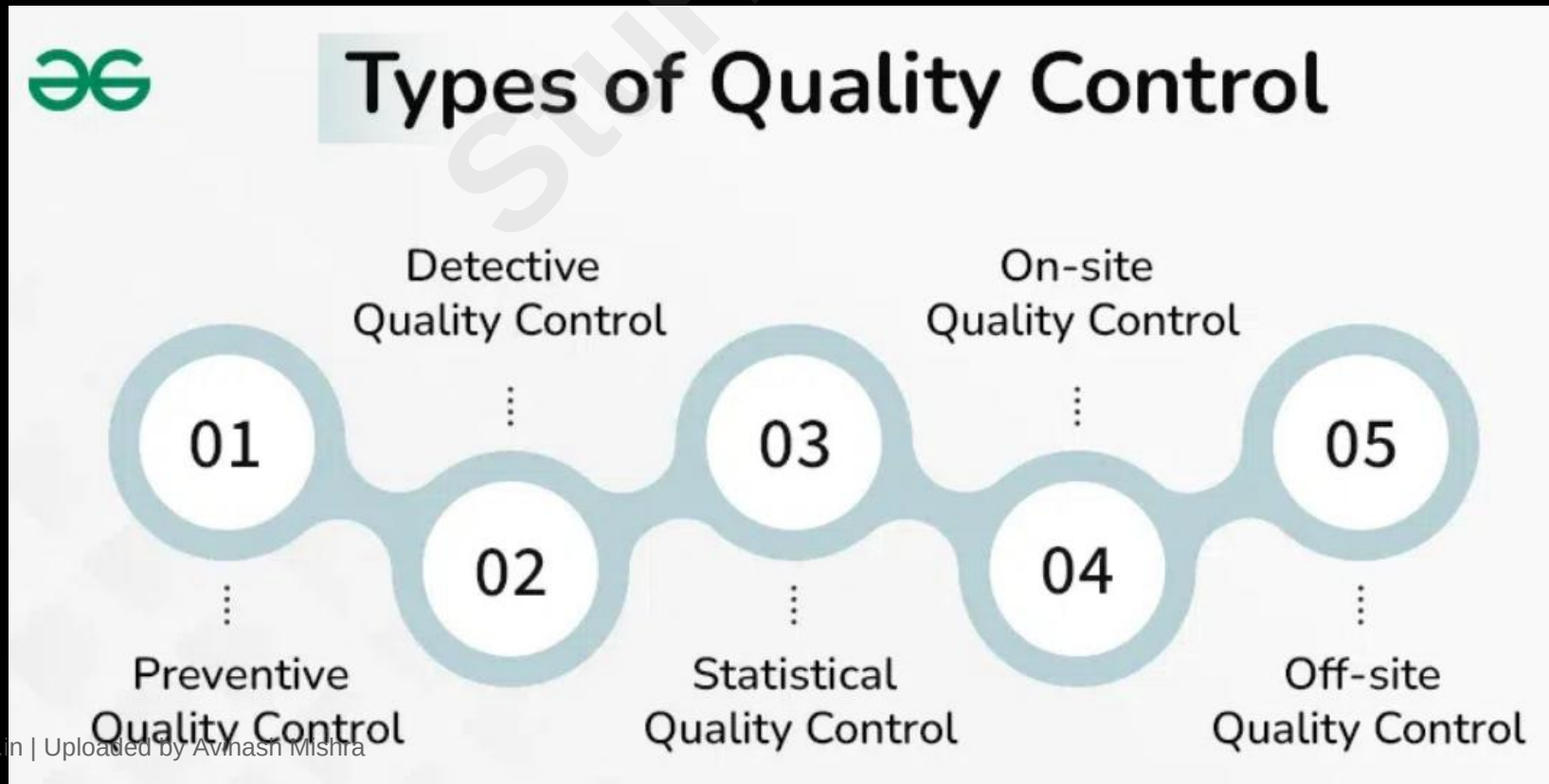


5. Ensures safety

Important in food, medicine, and machinery industries.

6. Helps maintain standards

Keeps products consistent and reliable.





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1. Preventive Quality Control

Done **before** production starts.

Purpose: to **prevent defects**.

Includes:

- Training workers
- Proper machine maintenance
- Using good raw materials

☞ **Simple:** Stop problems before they occur.

2. Detective Quality Control

Done **during or after** production.

Purpose: to **detect defects**.

Includes:

- Checking samples
- Inspecting finished goods

☞ **Simple:** Find mistakes after they occur.

3. Statistical Quality Control (SQC)

Uses **charts, graphs, and statistics** to measure quality.

Includes:

- Control charts
- Sampling inspection

☞ **Simple:** Quality checked using maths and data.

4. On-site Quality Control

Quality is checked **in the factory/workplace**.

Includes:

- Checking machines
- Testing raw materials
- Supervising workers

☞ **Simple:** Quality test done at the production site.



5. Off-site Quality Control

Quality is tested **outside the factory**, usually in a laboratory.

Includes:

- Lab testing of samples
- Chemical or advanced tests

👉 **Simple:** Products are taken to labs for checking.

❏ **What are Wages?**

Wages are the **payment given to workers** for the work they do.

It is usually paid **daily or weekly**.

👉 **Simple words:**

Wages = money paid to workers for their labour.

Examples:

- A worker earns ₹500 per day
- A carpenter earns ₹3000 per week



❑ Why Wages Are Important?

- They motivate workers
- Help workers meet their daily needs
- Improve job satisfaction
- Attract skilled workers
- Reduce employee turnover (workers leaving the job)

❖ What Are Financial Incentives?

Financial incentives are **extra payments** given to workers in addition to wages to encourage better work.

☞ **Simple words:**

Financial incentives = extra money for extra effort.

Examples:

- Bonus
- Commission
- Overtime pay



❖ Role of Financial Incentives :

1. Motivates workers

Extra money encourages workers to perform better.

2. Increases productivity

Workers work faster and with more effort.

3. Reduces absenteeism

Workers come regularly because they get rewards.

4. Improves quality of work

When workers are rewarded, they try to avoid mistakes.

5. Helps the company achieve goals

Higher performance = more production = more profit.

6. Retains good workers

Skilled workers stay in the company because they feel rewarded.



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❖ What is Marketing?

Marketing means identifying what customers need and making products that satisfy those needs.

It includes activities like:

- finding customer needs
- designing products
- pricing
- promoting
- distributing the product

☞ Simple words:

Marketing is understanding customers and giving them what they want.

❖ Objectives of Marketing

1. Identify customer needs

Understand what customers want.



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2. Satisfy customers

Provide the right product at the right time.

3. Increase sales

Use advertising, promotions, and good service.

4. Create a good image of the company

Build trust and brand value.

5. Earn profit

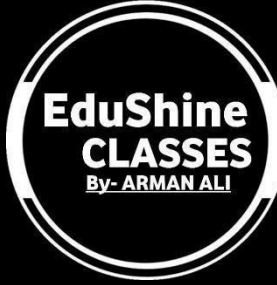
Satisfied customers increase profits.

6. Expand market

Reach new customers and new areas.



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❑ Difference between marketing & Selling :

Marketing	Selling
Focus is on customer needs	Focus is on company product
Begins before product is made	Begins after product is made
Goal: Satisfy customer	Goal: Sell the product
Long-term relationship	Short-term focus
Emphasizes research, planning, promotion	Emphasizes pushing the product
Customer-oriented	Product-oriented



❖ What is Industrial Relations?

Industrial Relations (IR) means the relationship between:

- Employers (management),
- Employees (workers), and
- Government / Trade unions.

➡ **Simple words:**

Industrial Relations is how workers and management work together peacefully in an industry.

Its main aim is to avoid conflicts and create a smooth working environment.

❑ Objectives of Industrial Relations :

1. Maintain peace in the industry

Avoid strikes, fights, and conflicts.

2. Improve worker–management cooperation

Both should work like a team.

3. Increase productivity

Good relations lead to more efficient work.



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4. Protect workers' rights

Ensure fair wages, safety, and good working conditions.

5. Resolve disputes quickly

Use negotiation or discussion to solve problems.

6. Promote industrial democracy

Workers get a chance to express their views.

❖ Significance of Industrial Relations (Why It Is Important?)

1. Ensures smooth working

No stoppages or strikes → continuous production.

2. Improves employee morale

Happy workers work better.

3. Increases company profit

Peaceful relations → higher output → more profit.

4. Reduces labour turnover

Workers stay longer, reducing hiring costs.



5. Improves quality of work

When workers and management cooperate, quality improves.

6. Creates healthy work environment

Less stress, more cooperation, better teamwork.

7. Helps national growth

Industries run smoothly → economy grows.

❖ What is Inventory Control? (V.V.VIMP)

Inventory Control means managing the materials, goods, and supplies in a business so that: there is **enough stock** for production, but **not too much stock** that money gets wasted.

👉 **Simple words:**

Inventory control = keeping the right amount of stock at the right time.



❖ Objectives of Inventory Control :

1. Ensure continuous production

Make sure materials are always available so work never stops.

2. Avoid overstocking

Don't keep too much stock; it increases storage cost and wastage.

3. Avoid understocking

Don't run out of stock; it stops production and delays delivery.

4. Minimize storage cost

Reduce expenses of warehousing, handling, and insurance.

5. Reduce wastage and spoilage

Old or extra materials may get damaged → inventory control avoids this.

6. Efficient use of working capital

Money invested in stock should be minimum.

7. Better customer service

Right stock ensures timely delivery of products to customers.



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❑ Advantages of Inventory Control :

1. Uninterrupted production

Materials are always available → no production delay.

2. Less storage cost

Only required stock is kept → saves money.

3. Reduces wastage

Old, expired, and damaged inventory is minimized.

4. Improves cash flow

Less money is locked in stock → more money available for other uses.

5. Better planning

Helps plan purchases, production, and sales smoothly.

6. Avoids emergency purchases

No need to buy at high prices urgently because stock is well managed.

7. High customer satisfaction

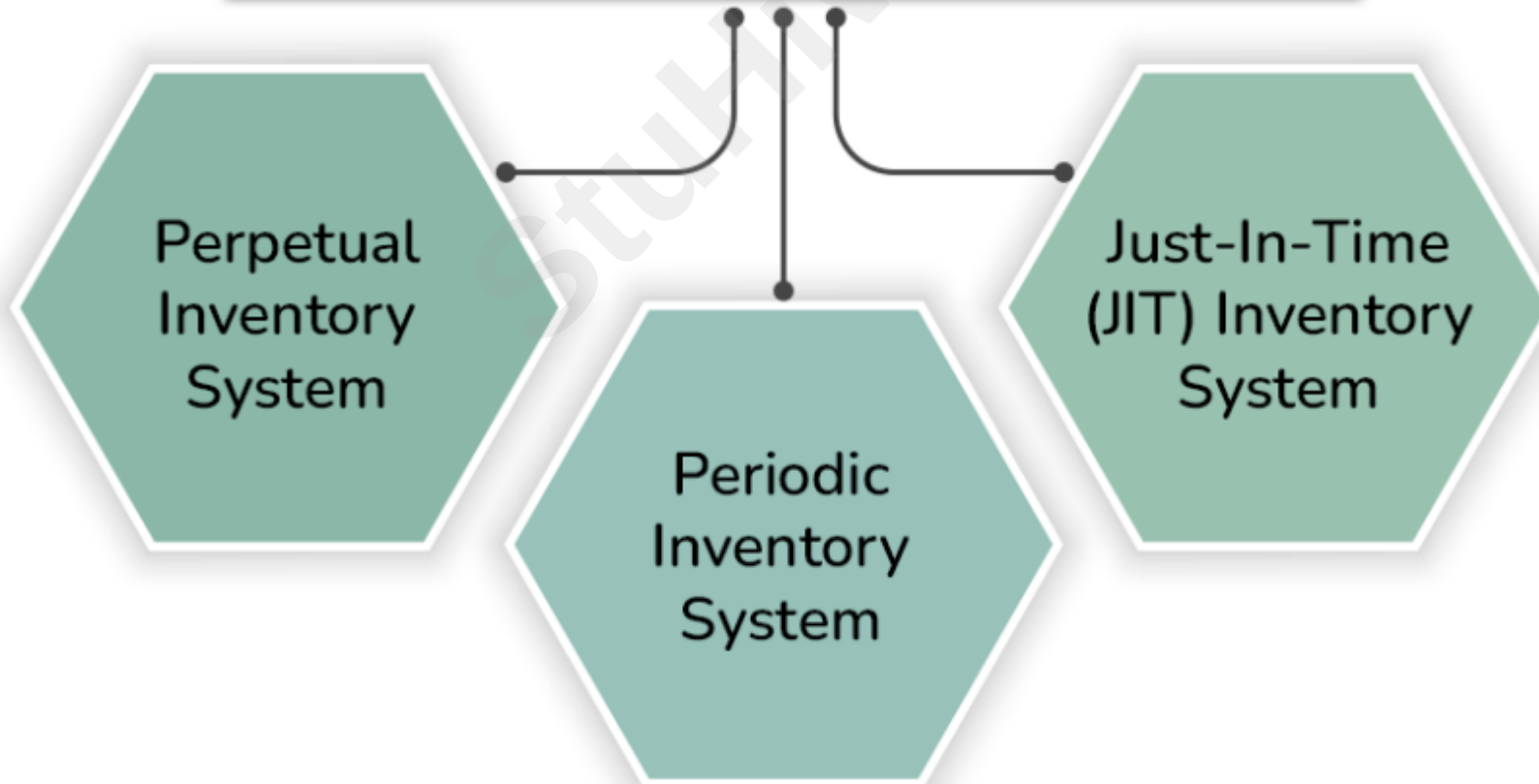
Products are delivered on time → customers are happy.



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Types of Inventory Control





1. Perpetual Inventory System

Stock records are updated **continuously** (after every purchase or issue).

Shows **real-time** quantity of inventory.

Uses: computers, barcode scanners, software.

☞ **Simple:** Stock is tracked **all the time**.

2. Periodic Inventory System

Stock is checked **at fixed intervals** (weekly, monthly, yearly).

No continuous tracking.

Physical counting is required.

☞ **Simple:** Stock is checked **from time to time**, not daily.

3. Just-In-Time (JIT) Inventory System

Stock is purchased **only when needed** for production.

Very little or **no inventory** is kept.

Reduces storage cost and wastage.

☞ **Simple:** Materials arrive **just in time**, not stored.



❑ Techniques of Inventory Control :

1. ABC Analysis

Items are classified into **A, B, C** categories.

- **A-items:** Very costly, strict control
- **B-items:** Moderate value
- **C-items:** Low value, easy control

☞ **Simple:** Control important items more strictly.

2. Economic Order Quantity (EOQ)

It tells **how much quantity to order** each time.

Helps reduce ordering & holding cost.

☞ **Simple:** Order the **best quantity** that costs the least.

3. Safety Stock

Extra stock kept to avoid stock-out in emergencies.

Useful during delays or sudden demand.

☞ **Simple:** Backup stock for safety.

4. FIFO (First-In, First-Out)

- Items purchased **first** are used **first**.
- Useful for perishable goods (milk, medicine).

☞ **Simple:** Use **old stock first**.

5. LIFO (Last-In, First-Out)

- Items purchased **last** are used **first**.
- Useful in industries where old stock does not spoil.

☞ **Simple:** Use **new stock first**.



❖ What is Inventory Turnover :

Inventory Turnover means how many times a company sells and replaces its stock during a year.

👉 **Simple words:**

It shows how fast goods are sold.

Higher turnover = stock is selling quickly

Lower turnover = stock is moving slowly

$$\text{Inventory Turnover} = \frac{\text{Cost of Goods Sold (COGS)}}{\text{Average Inventory}}$$



❖ Advertising through television is favourable to big enterprises but affects small entrepreneurs – Explanation

Television (TV) advertising is one of the **most expensive** types of advertising. Because of this, **big companies benefit more**, and **small entrepreneurs face problems**.

❑ Why TV Advertising Favors Big Enterprises?

1. High cost of TV ads

TV ads require:

- Expensive video production
- High payment for airtime
- Big companies can afford this, but **small entrepreneurs cannot**.

2. Large reach

TV ads reach millions of people across the country.

Big businesses benefit more because they sell on a large scale.

3. Brand image building

TV ads create a **strong brand image**.



Big companies use celebrity endorsements and high-quality ads, increasing their market dominance.

❖ How TV Advertising Affects Small Entrepreneurs?

1. Small businesses cannot compete

They cannot spend as much money on advertising.

Customers mostly remember the big brands shown repeatedly on TV.

2. Loss of market share

Consumers prefer big brands because they see them often on TV.

Small businesses get **less attention** and **fewer customers**.

3. Big companies influence customer choices

Strong TV ads convince customers to buy branded products.

This makes it harder for new or small businesses to enter the market.

4. Creates unequal competition

Big companies grow faster

Small businesses struggle to survive.



❑ What are Financial Reports?

Financial reports are statements that show the **financial performance and position** of a business.

They help owners, managers, banks, and investors understand:

- How much the business earned
- How much it spent
- What it owns
- What it owes

👉 Simple words:

Financial reports tell the financial health of a business.

❖ Main Types of Financial Reports :

1. Income Statement (Profit & Loss Account)

Shows:

- Revenue (income)
- Expenses
- Profit or loss of the business



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👉 **Simple:** It shows whether the business made **profit or loss**.

2. Balance Sheet

Shows:

- Assets (what business owns)
- Liabilities (what it owes)
- Capital

👉 **Simple:** It shows the **financial position** on a specific date.

3. Cash Flow Statement

Shows:

- Cash inflows (money coming in)
- Cash outflows (money going out)

👉 **Simple:** It shows how **cash is moving** in the business.

❑ Why Financial Reports Are Important?

- Helps in decision making
- Shows profit or loss
- Helps banks give loans
- Tracks business growth
- Helps in tax calculation
- Builds trust with investors



❖ Preparation of Financial Reports : (V.V.V.VIMP)

Here are the simple steps followed to prepare financial reports:

1. Collect Financial Data

Gather all financial documents:

- Bills
- Invoices
- Receipts
- Bank statements
- Purchase & sales records

☞ **Simple:** Collect all money-related papers.

2. Record Transactions

Enter all transactions in books of accounts like:

- Journal
- Ledger

• Cash book ☞ **Simple:** Write down all money transactions properly.

3. Prepare Trial Balance

List all account balances to ensure:

- Debits = Credits

☞ **Simple:** Check if accounts are correct.

4. Prepare Profit & Loss Account

Calculate:

- Total income
- Total expenses
- Profit or loss

☞ **Simple:** Find out how much business earned.



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5. Prepare Balance Sheet

List:

- Assets
- Liabilities
- Capital

☞ **Simple:** Show what business owns and owes.

6. Prepare Cash Flow Statement

Show:

- Operating cash
- Investing cash
- Financing cash

☞ **Simple:** Show cash received and spent.

7. Review & Finalize

Check everything for accuracy and submit to:

- Management
- Investors
- Banks
- Government (for tax)

☞ **Simple:** Final check before presenting.



❖ What are Accounts Studies?

Accounts studies refer to understanding how a business records, maintains, and manages its financial transactions.

👉 Simple words:

Accounts studies = learning how money comes in and goes out of the business.

It includes:

- Recording sales and purchases
- Maintaining cash book
- Keeping ledgers and journals
- Preparing financial statements
- Checking profit or loss
- Managing expenses and income

✓ Why Accounts Are Important?

- Helps know profit/loss
- Controls expenses
- Helps in decision making
- Required for loans and taxes
- Shows financial health of business



❖ What are Stores Studies?

Stores studies refer to managing the materials, goods, and supplies in a business.

☞ **Simple words:**

Stores studies = learning how to receive, store, protect, and issue materials properly.

It includes:

- Receiving raw materials
- Proper storage and safety
- Maintaining stock records
- Issuing materials to production
- Preventing theft, damage, and wastage

✓ Why Stores Management Is Important?

- Ensures materials are available on time
- Reduces wastage and spoilage
- Saves storage cost
- Helps continuous production



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❑ Components of Stores Studies :

1. Receipt of Goods

Checking quantity, quality, and condition of items received.

2. Storage

Keeping items properly in racks, shelves, or containers.

3. Issue of Materials

Giving materials to workers or departments when needed.

4. Stock Records

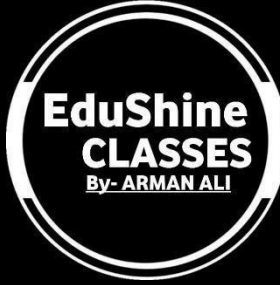
Maintaining stock registers and inventory books.

5. Stock Checking (Inventory)

Regular checking to ensure records match actual stock.



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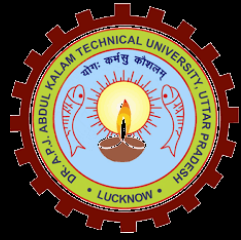


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Unit – 4 Project Planning & Control

IV	Project Planning and control: The financial functions, cost of capital approach in project planning and control. Economic evaluation, risk analysis, capital expenditures, policies and practices in public enterprises. profit planning and programming, planning cash flow, capital expenditure and operations. control of financial flows, control and communication.
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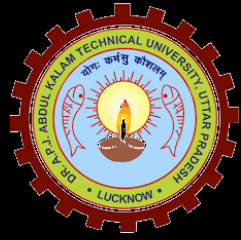


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❖ What is Project Planning?

Project planning is the process of deciding in advance:

- *What the project will do*
- *How it will be done*
- *When it will be done*
- *How much it will cost*
- *Who will do the work*

➡ Simple words:

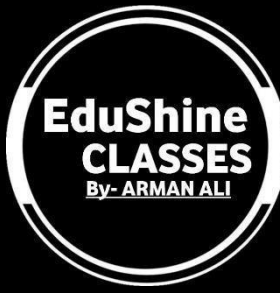
Project planning means making a clear roadmap for completing a project successfully. It ensures proper use of resources (money, time, people, materials).

❑ Main Steps in Project Planning

- 1. Setting objectives** – What do we want to achieve?
- 2. Estimating resources** – Money, people, materials, machines
- 3. Preparing a schedule** – When the work will start & finish
- 4. Budgeting** – Total cost of the project



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5. Identifying risks – Possible problems and solutions

6. Allocation of work – Assigning tasks to teams

7. Monitoring plan – How progress will be checked

❖ **Financial Analysis in Project Planning**

Financial analysis checks whether the project is **financially feasible, profitable, and worth investing in.**

👉 **Simple words:**

Financial analysis tells whether the project will earn profit or cause loss.

❑ **Functions of Financial Analysis**

1. Estimate Project Cost

Calculates:

- Capital cost (machines, land, building)
- Operating cost (labour, raw materials, electricity)

Simple: Find total money needed.



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2. Estimate Revenue / Income

Predicts how much money the project will earn in future.

Simple: How much profit can we make?

3. Profitability Testing

Uses tools like:

- Net Present Value (NPV)
- Internal Rate of Return (IRR)
- Payback Period

Simple: Check if project is profitable.

4. Assess Financial Risk

Identifies risks such as:

- price changes
- demand fall
- increase in cost

Simple: Check what financial problems may occur.

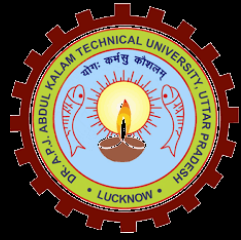
5. Cash Flow Planning

Ensures money is available at every stage of the project.

Predicts:

- cash inflow
- cash outflow

Simple: Manage when money comes in and goes out.



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6. Helps in Decision Making

Financial analysis helps managers decide:

- whether to start the project
- whether to modify the project
- whether to reject the project

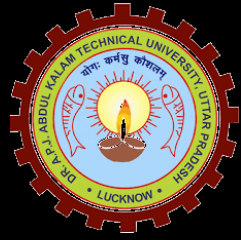
Simple: Decide Go or No-Go.

7. Helps in Getting Loans / Funding

Banks and investors check financial analysis before giving money.

Simple: Shows project is trustworthy.





❖ What is Cost of Capital? (V.VIMP)

Cost of capital is the **minimum return** a project must earn to cover the cost of the money invested in it.

👉 **Simple words:**

Cost of capital = price of using money for the project.

If a company borrows money or uses its own funds, that money has a cost.

Examples of cost:

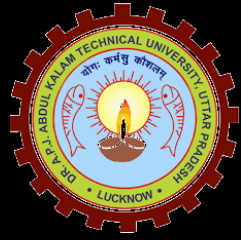
- Interest on loans
- Dividend to shareholders
- Return expected by investors

❑ Why Cost of Capital Is Important in Project Planning?

1. Helps decide if project is profitable

A project must earn **more** than the cost of capital.

If $\text{return} < \text{cost of capital} \rightarrow$ project is rejected.



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2. Helps compare different projects

The project that gives higher return above cost of capital is better.

3. Helps in budgeting

Shows how much money will cost and how much is safe to invest.

4. Used in NPV, IRR calculations

Financial evaluation tools depend on cost of capital.

5. Helps in choosing funding sources

Shows whether loan, equity, or retained earnings is cheaper.

Simple:

Cost of capital helps decide “Should we invest or not?”

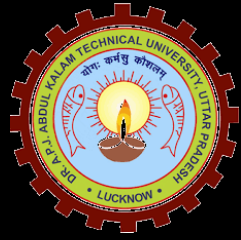
❖ Steps in Cost of Capital Approach :

Here are the steps in very simple words:

1. Identify sources of capital

Find where the money will come from:

- Loans



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- Equity shares
- Preference shares
- Retained earnings

Simple: Where do we get money?

2. Calculate the cost of each source

Find:

- Interest rate on debt
- Dividend rate on shares
- Opportunity cost of retained earnings

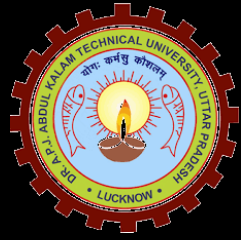
Simple: What is the cost of each fund?

3. Determine proportion (weight) of each source

Find how much percentage is taken from each source.

Example:

- 40% loan
- 30% equity



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- 30% retained earnings

Simple: How much money from each type?

4. Calculate Weighted Average Cost of Capital (WACC)

$$WACC = \sum (Weight \times Cost)$$

This gives the overall cost of capital.

☞ Simple: Calculate average cost of all funds combined.

5. Compare Project Return with Cost of Capital

If Project Return > Cost of Capital → Accept project

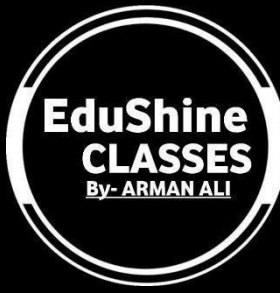
If Project Return < Cost of Capital → Reject project

Simple: Check if the project earns enough.





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❖ Sources of Funds

1. Equity Capital

Money raised by issuing **shares** to owners or investors.

Simple: Owners invest money.

2. Debt (Loans)

Money borrowed from:

- Banks
- Financial institutions
- Debenture holders

Simple: Borrowed money that must be repaid with interest.

3. Retained Earnings

Profit kept in the business instead of distributing it as dividends.

Simple: Company's saved profit.

4. Preference Share Capital

Money raised by issuing preference shares.

5. Trade Credit

Suppliers allow the business to pay later.

Simple: Buy now, pay later.

6. Public Deposits

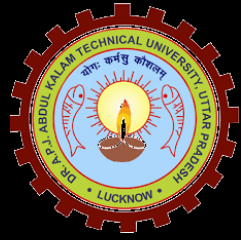
Money collected from the public for a fixed time.

Simple: Short-term loans from public.

7. Government Grants / Subsidies

Financial help from government for specific projects.

Simple: Money support from government.



❖ What is Economic Evaluation?(V.VIMP)

Economic Evaluation means checking whether a project is **worth doing** by comparing its **costs** and **benefits**.

➡ **Simple words:**

Economic evaluation = finding out if a project will give more benefits than costs.

It tells us whether the project is:

- profitable
- useful
- safe for investment
- better than other alternatives

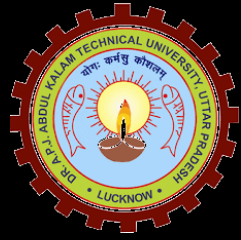
❑ Why Economic Evaluation is Important?

Helps decide if the project should be **accepted or rejected**

Prevents financial loss

Shows future profit and cash flow

Helps compare different project options



Helps attract investors or bank loans

Supports good decision making

❑ Main Techniques of Economic Evaluation

These are commonly used methods:

1. Cost–Benefit Analysis (CBA)

Compares total cost vs total benefit.

2. Net Present Value (NPV)

Present value of inflows – present value of costs.

If NPV positive → project is good.

3. Internal Rate of Return (IRR)

Rate at which the project earns profit.

If $IRR > \text{cost of capital}$ → project accepted.

4. Payback Period

Time taken to recover initial investment.

Shorter payback = better project.

5. Profitability Index

Present value of benefits ÷ present value of costs.

Simple Example :

Investment = ₹1,00,000

Annual benefit = ₹40,000

If the project continues for 4 years:

Total benefit = ₹1,60,000

Total cost = ₹1,00,000

Benefits > Costs → Project is economically viable.



❏ What is Risk?

Risk means the chance of loss or uncertainty in the future.

In business, risk is the possibility that actual results may be **different** from expected results.

☞ **Simple words:**

Risk = uncertainty about future profit or loss.

Example:

- Prices may change
- Demand may fall
- Costs may increase

❖ What is Risk Analysis?

Risk analysis means identifying, studying, and understanding the risks that can affect a project.

☞ **Simple:**

Risk analysis = finding risks and knowing how to deal with them.



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❖ Steps in Risk Analysis : (V.IMP)

1. Identify the Risk

Find possible risks such as price changes, demand fall, competition, etc.

2. Assess the Risk

See how serious each risk is:

- High impact?
- Medium impact?
- Low impact?

3. Measure the Risk

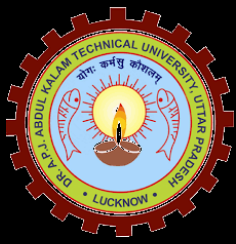
Use numbers or data to check how big the risk is (probability of happening).

4. Plan Response

Decide what to do if the risk occurs:

- Reduce risk
- Avoid risk

- Transfer risk (insurance)



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5. Monitor and Review

Continuously check and update the risk plan.

❑ Sources of Risk :

Here are the main sources:

1. Market Risk

Due to changes in demand, customer preferences, or competition.

2. Financial Risk

Due to interest rate changes, lack of funds, or cash flow problems.

3. Technical Risk

Failure of machinery, technology problems, production issues.

4. Economic Risk

Inflation, recession, GDP slowdown.

5. Political Risk

Changes in government policies, taxes, rules.

6. Environmental Risk

Natural disasters, climate issues, pollution rules.

7. Operational Risk

Internal issues like labour problems, mismanagement, human errors.



❖ How to Measure Risk?

Risk can be measured using simple methods:

1. Probability (Chance of Occurrence)

- How likely is the risk to happen?
- High
- Medium
- Low

👉 Example:

60% chance demand will fall = high risk.

2. Impact Measurement

How big will the loss be?

High loss

Medium loss

Low loss

Example: Machine failure may stop production → high impact.

3. Sensitivity Analysis

Check how results change with:

- price change
- cost increase
- demand fall

Simple:

If small changes affect profit a lot → high risk.

4. Scenario Analysis

Make 3 situations:

- Best case
- Normal case
- Worst case

Compare results to measure risk.



5. Standard Deviation

A mathematical method to measure variability in returns.

☞ **Simple words:**

Higher standard deviation = higher risk

Lower standard deviation = safer project

❖ What is Capital Expenditure? (V.VVIMP)

Capital Expenditure (CapEx) is the money spent by a business to buy or improve **long-term assets**.

These assets include:

- Land
- Building
- Machinery
- Vehicles
- Equipment
- Furniture

☞ **Simple words:**

Capital expenditure = money spent on big, long-term things used for many years.

These expenses are not for daily use — they give benefits for many years.



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□ Examples of Capital Expenditure

- Buying a new machine
- Constructing a building
- Upgrading old equipment
- Purchasing a company vehicle
- Setting up a new factory

How to Calculate Capital Expenditure?

To calculate CapEx, use this formula:

$$\text{CapEx} = \text{Cost of New Fixed Assets} - \text{Sale Value of Old Assets} + \text{Installation Cost}$$

Example:

New machine cost = ₹1,00,000

Installation = ₹10,000

Old machine sold = ₹20,000

$$\text{CapEx} = 100000 + 10000 - 20000 = ₹90,000$$



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❑ How to Plan Capital Expenditure?

Planning CapEx is important because it involves **big money**.

✓ Steps in Capital Expenditure Planning:

1. Identify the Need

Decide why the asset is needed:

- Increase production?
- Improve quality?
- Reduce cost?

Simple:

What do we need to buy and why?

2. Estimate Total Cost

Calculate:

- Purchase cost
 - Installation cost
 - Transportation cost
- Taxes
Training cost

Simple:

Find the full cost before buying.

3. Estimate Benefits

Calculate:

- Increase in profit
- Cost savings
- Higher production
- Long-term value

Simple:

How much benefit will the asset give?



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4. Evaluate Alternate Choices

Compare:

- Different brands
- Different suppliers
- Renting vs buying

Simple:

Choose the best and cheapest option.

5. Financing Decision

Decide how to pay:

- Bank loan
- Retained earnings
- Equity
- Hire purchase

Simple:

Where will the money come from?

6. Risk Analysis

Check risks like:

- Machine failure
- High maintenance
- Low demand

Simple:

Check possible problems.

7. Final Approval

Management approves the investment after checking all details.



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❑ How to Execute Capital Expenditure?

Once planning is done, execution starts.

Simple:

Make sure the asset works properly

1. Purchase the Asset

Place order with the best supplier.

2. Install and Test

Set up the machine or equipment and test it properly.

3. Train the Staff

Teach workers how to use the new asset.

4. Start Using the Asset

Begin production or regular use.

5. Monitor Performance

Check:

- efficiency
- output

• cost savings and gives expected benefits.



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❖ What is Capital Expenditure in Public Sector?

In Public Sector Enterprises (Government-owned companies), capital expenditure means spending money on long-term assets, such as:

- Buildings
- Machinery
- Roads, bridges
- Power plants
- Telecommunication systems
- Railway infrastructure

Simple words:

Government companies spend money on big projects that give benefits for many years.

❑ Capital Expenditure Policies in Public Sector :

Policies are rules and guidelines made by the government to manage spending.

Here are the main policies:



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1. Planned Investment Policy

Capital expenditure is done as per **Five-Year Plans / Annual Budgets**.

Simple:

Government decides **how much to spend** in each sector (power, transport, health, etc.).

2. Priority to Development Projects

PSEs focus on:

- infrastructure
- public welfare
- basic industries (steel, power, coal)

- Planning Commission / NITI Aayog
- Board of Directors

Simple:

No project starts without government approval.

Simple:

Projects that help the nation are given **first preference**.

3. Proper Financial Approval

Large capital expenditure must be approved by:

- Ministry of Finance



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4. Cost Control Policy

Government ensures:

- No overspending
- No wastage
- No corruption

Simple:

Strict rules to keep project cost **within limits**.

5. Use of Tender System

All purchases of machinery, materials, etc., are done through **tenders**.

Simple:

The company invites suppliers to bid → chooses the **lowest and best** price.

6. Public Accountability

Public sector must:

- follow transparency
- maintain records

- allow audits

Simple:

Government companies must **answer to the public**.

7. Social Responsibility Policy

Capital expenditure must:

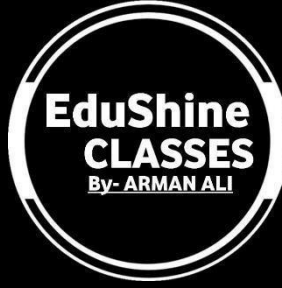
- create jobs
- support rural development
- improve living standards

Simple:

Projects must help **society**, not just earn profit.



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❖ Practices in Public Sector Capital Expenditure :

These are the steps followed in practice:

1. Project Identification

PSE identifies a need:

Example: new railway line, new power plant.

2. Feasibility Study

Checks:

- technical viability
- economic viability
- environmental impact

Simple:

Check if the project is possible and useful.

3. Budget Preparation

Estimate total cost and include it in government budget.

4. Approval Process

Project is approved by:

- Government ministries
- Finance department
- Board committees

5. Tendering and Contracting

Issue tender → select contractor → sign agreement.



6. Execution and Monitoring

Project work begins; progress is monitored by:

- engineers
- financial auditors
- government committees

Simple:

Keep the project on time and within budget.

7. Post-Completion Review

Check:

- Was money used properly?
- Did the project meet its goals?
- Any improvements needed?



❑ What is Profit Planning?

Profit planning means making a plan in advance to achieve a **desired profit** in a business. It includes estimating future income, future expenses, and deciding how to increase profit.

Simple words:

Profit planning = planning how to earn more profit by controlling cost and increasing sales. It is a part of the business budget.

❖ Why Profit Planning is Important?

- Helps the business set **profit goals**
- Controls expenses and reduces wastage
- Helps in proper use of resources
- Guides managers in decision-making
- Helps avoid financial problems
- Improves business growth and stability



❑ Steps in Profit Planning :

1. Set Profit Objectives

Decide how much profit the business wants to earn in the coming year.

Example:

Target profit = ₹10 lakh per year.

2. Estimate Sales

Predict how much product will be sold and at what price.

Simple:

Calculate future sales.

3. Estimate Costs

Calculate all costs:

- Transport
- Raw materials
- Marketing
- Labour
- Rent

Simple:

Find total expenses.

4. Prepare Profit Plan (Budget)

Use the formula:

$$\text{Profit} = \text{Sales} - \text{Expenses}$$

Decide how to increase sales or reduce expenses to reach profit goal.



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5. Develop Strategies

Plan actions like:

- reducing production cost
- improving quality
- increasing selling price
- launching advertisement
- introducing new products

Simple:

How to reach the profit target?

6. Implement the Plan

Start working according to the profit plan:

- execute production
- control costs
- increase sales
- improve efficiency

7. Monitor and Control

Check regularly:

- Are we earning the expected profit?
- Are costs under control?
- Do we need changes?



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❖ What is Profit Programming?

Profit programming means making a **detailed and systematic plan** to achieve the profit goals of a business.

It is a part of **profit planning**, but more detailed and action-oriented.

Simple words:

Profit programming = step-by-step program to reach the desired profit.

It helps the business decide:

- how much to produce
- how much to spend
- how much to sell
- how to control cost
- how to increase income



❑ Main Features of Profit Programming :

1. Profit goal is fixed

A clear target is set (Example: earn ₹20 lakh profit).

2. Sales program is prepared

Plan how much to sell and at what price.

3. Production program is prepared

Plan how much to produce to meet sales demand.

4. Cost program is prepared

Plan to reduce costs without affecting quality.

5. Budget is prepared

Detailed financial plan of income and expenses.

6. Monitoring and control

Regular checking to see if profit goals are being met.



❑ Steps in Profit Programming :

1. Fix Profit Target

Decide the amount of profit the company wants.

2. Estimate Future Sales

Predict sales volume and price.

3. Plan Production

Decide how much to produce to meet sales.

4. Estimate Expenses

Calculate all costs: raw material, labour, marketing, power, etc.

5. Prepare Profit Budget

$$\text{Profit} = \text{Sales} - \text{Cost}$$

6. Implement the Program

Carry out the sales, production, and cost plans.

7. Review and Control

Compare actual profit with planned profit and correct problems.



❑ What is Planning Cash Flow?

Planning cash flow means deciding how much cash will come in and how much cash will go out in the future, so the business never runs out of money.

Simple words:

Cash flow planning = making sure the business always has enough cash to run smoothly.

It helps avoid:

- cash shortage
- delay in payments
- production stoppages

❖ Need for Cash Flow Statement (Why It Is Important?)

A Cash Flow Statement shows:

Cash coming into the business (inflows)

Cash going out of the business (outflows)

It is needed because:



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1. Helps check liquidity

Shows if the business has enough cash to pay bills, salaries, rent, etc.

2. Helps in decision making

Managers can plan:

- investments
- purchases
- loan payments

3. Shows actual cash position

Profit does not equal cash.

Cash Flow Statement reveals the **real financial situation**.

4. Useful for banks and investors

Banks check cash flow before giving loans.

Investors check cash stability before investing.

5. Helps in planning future cash needs

Helps avoid cash shortage during expansion or emergencies.



❑ How to Improve Cash Flow? (Some methods) (V.VIMP)

Here are simple and effective ways:

1. Increase Cash Inflow

a) Faster Collection from Customers

Give discounts for early payment

Send reminders

Reduce credit period

Simple: Get money faster.

b) Increase Sales

More sales = more cash.

c) Sell unused assets

Sell old machines, vehicles, or extra stock.

2. Reduce Cash Outflow

a) Control Expenses

Avoid unnecessary spending.

b) Delay Payments (without penalty)

Pay suppliers on the last due date.

c) Buy only needed stock

Reduce overstocking to save cash.

3. Better Working Capital Management

- Keep minimum inventory
- Use just-in-time methods
- Avoid waste

Simple: Manage daily cash better.



4. Arrange Short-Term Finance

Use:

- bank overdraft
- short-term loans
- credit from suppliers

Simple: Borrow small amounts for short time.

5. Improve Profitability

Higher profit → more internal cash.

❑ What is Control of Financial Flows?

Control of financial flows means checking and managing how **money enters** and **leaves** the business, so that the business always remains financially healthy.

Simple words:

Control of financial flows = keeping track of all cash coming in and going out and making sure money is used properly.

It ensures the business does not face:



- cash shortage
- overspending
- unnecessary expenses

❖ How to Control Financial Flows?

Here are the simplest ways:

1. Prepare Budget

A budget sets limits on spending.

Managers follow this plan to avoid waste.

Simple: Plan how much to spend.

2. Maintain Cash Flow Statement

Tracks:

- Cash inflow (sales, loans, investments)
- Cash outflow (expenses, salaries, purchases)

Simple: Know exactly where cash is coming and going.

3. Monitor Receipts & Payments

Check daily:

- money collected from customers
- payments made to suppliers

Simple: Keep daily watch on money movement.

4. Control Expenses

Reduce unnecessary costs like:

- extra staff
- high electricity use
- waste of material

Simple: Spend wisely.



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5. Maintain Proper Records

Keep proper books:

- Cash book
- Ledger
- Purchase & sales records

Simple: Write everything clearly to avoid mistakes.

6. Internal Audits

Regular checking of accounts to avoid:

- fraud
- errors
- misuse of money

Simple: Check everything regularly.

7. Control Credit

Allow credit to only trusted customers and limit credit period.

Simple: Avoid late payments.

8. Use Banking Services

Pay and receive through bank – safer and easy to track.



❑ What is Control in a Business Enterprise?

Control means checking whether the work in a business is going as per the plan. If something goes wrong, corrective action is taken.

Simple words:

Control = checking + correcting.

It ensures:

- work is done on time
- resources are used properly
- goals are achieved

❑ Steps in the Control Process :

1. Set standards

Decide the expected performance (targets).

2. Measure actual performance

Check what is actually happening.

3. Compare performance with standards

Find differences (if any).

4. Take corrective action

Fix the problems and improve performance.

❖ Importance of Control

- Improves efficiency
- Reduces wastage and cost
- Ensures quality
- Helps meet goals
- Avoids mistakes
- Improves decision-making



❖ What is Communication in a Business?

Communication means exchanging information between people in the business.

It includes:

- instructions
- reports
- ideas
- feedback
- messages

Simple words:

Communication = sharing information so that work happens smoothly.

◆ Types of Communication

1. Formal Communication

Through official channels (letters, emails, notices, reports).

2. Informal Communication

Casual communication (friendly talk, group chat).

3. Upward Communication

From employees → to managers.

4. Downward Communication

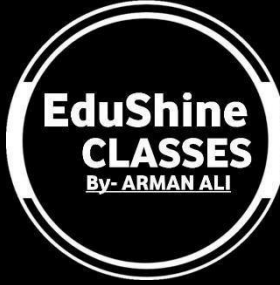
From managers → to employees.

5. Horizontal Communication

Between people of the same level (manager ↔ manager).



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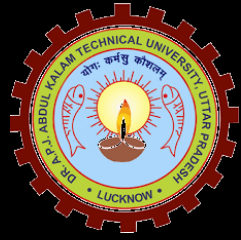


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Unit – 5 Entrepreneur & The Law

V

Laws concerning entrepreneur viz, partnership laws, business ownership, sales and income taxes and workman compensation act. Role of various national and state agencies which render assistance to small scale industries.

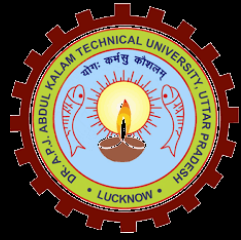


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❖ What is Business Ownership? (V.V.VIMP)

Business ownership means who owns and controls the business.

It describes who invests money, who takes decisions, who gets profit, and who bears losses.

Simple words:

Business ownership = the legal form in which a business is started.

❑ Types of Business Ownership :

Below are the 5 main types:

1. Sole Proprietorship (Single Owner Business)

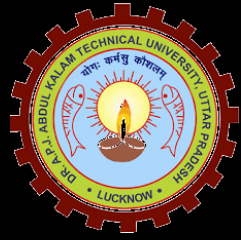
- ✓ Owned by one person
- ✓ Owner gets full profit
- ✓ Owner bears full loss
- ✓ Easy to start, small investment

Examples: small shops, freelancers, repair centers.

2. Partnership (Business with 2–20 Partners)

- ✓ Owned by two or more people
- ✓ They share profit and loss
- ✓ More capital than sole business
- ✓ Decisions taken jointly

Example: law firms, medical clinics, trading firms.



3. Joint-Stock Company (Large Company)

- ✓ Owned by shareholders
- ✓ Managed by a **Board of Directors**
- ✓ Large capital, limited liability
- ✓ Separate legal identity

Examples: Tata, Reliance, Infosys.

4. Co-operative Society

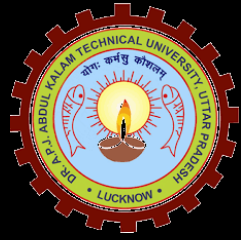
- ✓ Formed by a **group of people** for **mutual benefit**
- ✓ Members share profit
- ✓ Aim is service, not maximum profit
- ✓ Government support available

Examples: milk co-operatives, housing co-ops.

5. Franchise Business

- ✓ One business (franchisor) gives rights to another person (franchisee) to use:
 - brand name
 - products
 - business model
- ✓ Franchisee pays a fee + follows guidelines

Examples: Domino's, KFC, Amul, Meesho franchise.



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❑ What is Partnership? (V.V.VIMP)

A **partnership** is a business owned by **two or more people** who agree to:

- share profits
- share losses
- share responsibilities
- The agreement between partners is called a **Partnership Deed**.

Simple words:

Partnership = two or more people doing business together and sharing profit & loss.

❖ Features of Partnership :

Minimum **2 partners**, maximum **20 partners**

Profit and loss shared among partners

Partnership is created by **agreement**

Business managed by partners jointly

Partners have **unlimited liability**

Easy to start, easy to dissolve



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❑ Types of Partners :

1. Active Partner (Working Partner)

Actively works in business

Invests money + manages operations

Shares profit & loss

2. Sleeping Partner (Silent Partner)

Invests money but **does not take part in daily**

Work Shares profit & loss

3. Nominal Partner

Only **lends his name** to the firm

Does NOT invest money or work

Has liability for firm's actions

4. Partner by Estoppel (Apparent Partner)

Not a real partner

But behaves like a partner

5. Partner in Profits Only

Shares only profits

Does NOT share losses

6. Minor Partner

A minor (below 18 years) can be a partner **only for profit**, not for loss

No legal liability

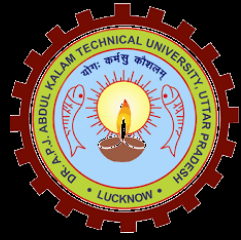
7. Secret Partner

Is a partner but **keeps his partnership hidden from public**

8. Limited Partner

His liability is limited to the amount he invested

Found in Limited Liability Partnerships (LLP)



❑ Types of Partnership (Bonus)

1. Partnership at Will

No fixed time period

Can be dissolved at any time

2. Particular Partnership

Formed for a specific job (example: construction project)

3. General Partnership

Continuous business with shared responsibility

❑ Indian Partnership Act, 1932 :

The **Indian Partnership Act, 1932** is a law that:

defines partnership

explains rights & duties of partners

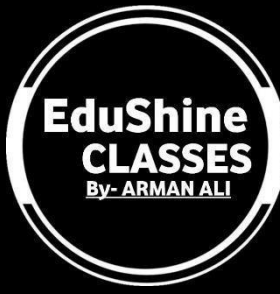
explains creation, registration & dissolution of partnership

Simple words:

This Act tells the rules for forming and running a partnership in India.



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❑ Key Provisions of Indian Partnership Act, 1932

1. Definition of Partnership

Partnership is an agreement between two or more persons to share profit of a business.

2. Registration of Firm

Registration is **optional**, not compulsory

But registered firm gets legal benefits

3. Unlimited Liability

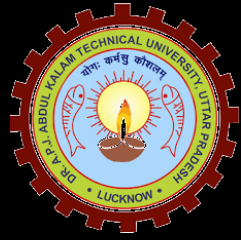
Partners are responsible for all business debts.

4. Mutual Agency

Each partner is an agent of the firm — meaning **actions of one partner bind the firm.**

5. Rights of Partners

- Right to share profits
- Right to inspect books
- Right to take part in business
- Right to get interest on capital



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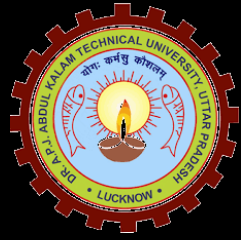
6. Duties of Partners

- Be honest
- Avoid secret profits
- Work for benefit of firm
- Maintain accounts properly

7. Dissolution of Firm

A partnership can end due to:

- mutual agreement
- death of partner
- insolvency
- completion of task
- court order



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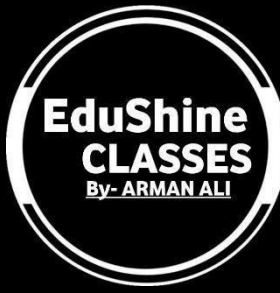


❑ Difference between Partnership & Co-ownership :

Partnership	Co-ownership
Formed by agreement to run a business.	May arise by inheritance, gift, or purchase , not necessarily agreement.
Aim is to do business and earn profit .	Aim is to own a property , not to run a business.
Partners share profit and loss .	Co-owners do not share profit or loss ; they only own property jointly.
There is mutual agency (one partner can bind the others).	No mutual agency (one co-owner cannot bind the others).
Maximum partners: 20 .	No fixed limit for co-owners.
Partnership requires business activity .	Co-ownership does not require business; only ownership.
Partnership property is owned by the firm .	Co-ownership property is owned jointly by co-owners.
Partnership ends by death/insolvency of partner.	Co-ownership continues even if a co-owner dies.



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❖ Characteristics of Joint Stock Company :

1. Separate Legal Entity

Company has its own identity separate from owners.

2. Limited Liability

Shareholders' liability is limited to the amount they invested.

3. Perpetual Succession

Company continues even if shareholders die or leave.

4. Large Capital

Can raise huge funds by issuing shares.

5. Transferability of Shares

Shares can be easily bought and sold.

6. Common Seal

Acts like the official signature of the company.

7. Management by Directors

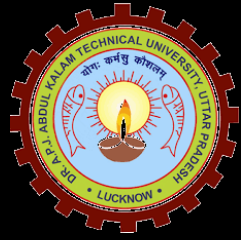
Shareholders elect a **Board of Directors** to manage the company.

8. Regulated by Law

Governed by the **Companies Act**.

9. Ownership and Management Separate

Owners (shareholders) and managers (directors) are different.



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❑ Steps to Form a Company :

1. Select a Company Name

Choose a unique name and get it approved.

2. Prepare Important Documents

Documents include:

- **MOA** (Memorandum of Association)
- **AOA** (Articles of Association)
- **Declaration & identity proofs**

3. File Documents with Registrar of Companies (ROC)

Submit all documents + fees to the ROC.

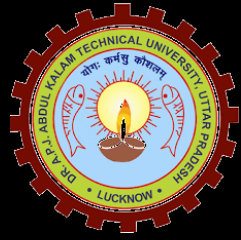
4. Get Certificate of Incorporation

If ROC approves, you get this certificate.

☞ This means the company is legally born.

5. For Public Company – Get Certificate to Commence Business

Public companies must take permission before starting operations.



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❖ What is Sales Tax? (V.V.VIMP)

Sales Tax is the tax charged on the **sale of goods**.
It is collected from customers when they buy goods.

Simple words:

Sales tax = extra money added to the price of goods.

Example:

If a pen costs ₹10 and sales tax is ₹2 → customer pays ₹12.

Key Points :

- Charged on **goods sold**
- Paid by **customers**
- Collected by **shopkeeper**
- Given to the **government**
- Helps government earn revenue



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❖ What is Income Tax?(V.V.VIMP)

Income Tax is the tax paid on the **income/earnings** of individuals and businesses.

Simple words:

Income tax = tax on money you earn.

Example:

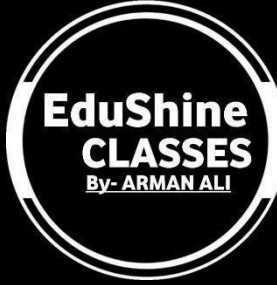
If a person earns ₹5,00,000 in a year, he pays tax based on income tax slabs.

Key Points :

- Charged on **salary, business income, profits**
- Paid by **individuals & companies**
- Rate depends on **income slab**
- Helps government run schools, roads, hospitals



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❖ Difference between Sales Tax & Income tax :

Sales Tax	Income Tax
Charged on goods sold	Charged on income earned
Paid by customers	Paid by individuals/businesses
Collected by shopkeeper	Collected by government directly
Related to spending	Related to earning
Applied at purchase time	Applied once a year

❑ ERIT :

ERIT means the profit that a business keeps in the company instead of giving it out as dividends to owners.

Simple words:

$$\text{ERIT} = \text{Net Profit} - \text{Dividends Paid}$$

ERIT = profit saved and kept in the business for future use.



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❖ What is a Public Enterprise?

A **Public Enterprise** is a business owned and controlled by the government.

Its main aim is **public welfare**, not just profit.

Simple words:

Public enterprise = government-owned business.

Examples: Railways, BSNL, ONGC, LIC.

Characteristics of Public Enterprise :

1. Government Ownership

Owned fully or partly by the government.

2. Government Control

Managed and controlled by government ministries.

3. Service Motive

Main aim is **public welfare**, not high profit.

4. Large Investment

Handles big projects like transport, energy, steel.

5. Public Accountability

Must follow rules, audits, and answer to Parliament.

6. Professional Management

Run by trained managers and government officials.

7. Independent Legal Status

It can own property, make contracts, and sue or be sued.

8. Continuous Existence

Not affected by change of government or leaders.



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❖ What is the Workmen's Compensation Act?(V.V.V.V.IMP)

The **Workmen's Compensation Act, 1923** is a law that **protects workers**.

It ensures that if a worker is **injured, disabled, or dies** while doing his job, the **employer must pay compensation** (money) to the worker or his family.

Simple words:

If a worker gets hurt during work, the employer must help him financially.

❖ When is Compensation Given?

Compensation is paid when injury/death happens:

- during work
- because of work
- inside workplace
- outside workplace while doing job duty (example: delivery worker on road)

Simple:

If the injury is work-related → compensation is given.



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❑ Situations Covered

- ✓ Death of worker
- ✓ Permanent disability
- ✓ Partial disability
- ✓ Temporary disability
- ✓ Occupational diseases

(diseases caused by the type of work, like chemicals, dust, radiation)

❖ Who Pays Compensation?

Employer must pay the compensation.

If employer has insurance, the insurance company may pay.

❑ How Compensation is Calculated?

Depends on:

- worker's **monthly wage**
- **age** of worker

Simple rule:

More the injury → more compensation.

- **type of injury** (death, permanent/temporary disability)



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❖ Who Is Covered Under the Act?

- Factory workers
- Mine workers
- Construction workers
- Transport workers
- Warehouse workers
- Any employee doing physical/manual work

❖ Who Is NOT Covered?

- Members of armed forces
- Railway workers (covered under different law)
- Workers earning above a certain wage limit (as per new rules)



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❖ NATIONAL AGENCIES helping Small-Scale Industries (SSI)

These are central government agencies that support small businesses across India.

1. Ministry of Micro, Small and Medium Enterprises (MSME)

Role (Easy):

- Makes policies for small industries
- Provides loans, subsidies, and training
- Runs different schemes for start-ups and small businesses

Simple: Helps small businesses grow through policies and schemes.

2. Small Industries Development Bank of India (SIDBI)

Role:

- Gives low-interest loans
- Helps in modernization and expansion
- Supports start-ups financially

Simple: Main bank for small industries.



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3. National Small Industries Corporation (NSIC)

Role:

- Offers raw material support
- Helps in marketing products
- Provides training to entrepreneurs
- Gives government tenders assistance

Simple: Helps small industries get materials, training, and marketing support

4. Khadi and Village Industries Commission (KVIC)

Role:

- Promotes village industries and khadi products
- Gives training and financial help
- Generates rural employment

Simple: Supports village-based small industries.



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❑ STATE AGENCIES helping Small-Scale Industries (SSI)

These are **state-level bodies** that support small businesses within each state.

1. District Industries Centre (DIC)

Role:

- First contact point for new entrepreneurs
- Helps register SSI units
- Provides training and guidance
- Helps in preparing project reports

Simple: Local office that helps people start small industries.

2. State Financial Corporations (SFCs)

Role:

- Give long-term loans
- Finance small and medium industries
- Help with machinery and equipment loans

Simple: State-level banks for small industries.



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3. State Industrial Development Corporations (SIDCs)

Role:

- Provide industrial land and sheds
- Develop industrial areas
- Help in large and small industrial projects

Simple: Provide land, buildings, and infrastructure.

4. State Small Industries Development Corporations (SSIDC)

Role:

- Provide raw materials at reasonable rates
- Help with marketing and export
- Assist in procurement of tools and equipment

Simple: State agency to support raw materials and promotion.



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Social Entrepreneurship :

Social Entrepreneurship means starting a business **not just to earn profit**, but mainly to **solve social problems** like poverty, education, health, environment, women empowerment, etc.

Simple words:

Social entrepreneurship = business for social good.

A social entrepreneur:

- finds a social problem
- creates an innovative solution
- helps society while also earning some income

Example : A person starting a low-cost school for poor children → **social entrepreneur.**



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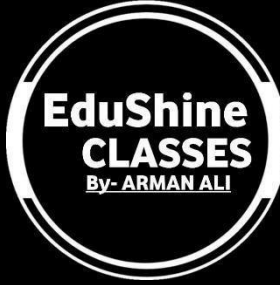


Ques : Discuss various law concerning entrepreneurship.(V.VVIMP)

Ans : Business Ownership, Partnership ,income tax, workmen compensation(Already covered)



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Thank You....



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